

CORE CURRICULUM



Marketing

Sunil Gupta, Series Editor

READING + INTERACTIVE ILLUSTRATIONS

Developing and Managing Channels of Distribution

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Table of Contents

1 Introduction	3
2 Essential Reading	6
2.1 Channel Stewardship.....	6
2.2 The First Discipline: Mapping the Industry Channels.....	9
2.2.1 Customer Wants and Needs	10
2.2.2 Channel Capabilities and Costs	13
2.2.3 Channel Power and Influence.....	13
2.2.4 Competitive Postures and Actions	14
2.2.5 Mapping Beyond the Four Forces.....	14
2.3 The Second Discipline: Building and Updating the Channel Value Chain	17
2.3.1 Direct versus Indirect.....	17
2.3.2 Constructing a Channel Value Chain: A Framework for Getting Started.....	21
2.3.3 Channel Coverage.....	24
2.3.4 Channel Structure: An Integrated versus an Arm's Length Approach	25
2.4 The Third Discipline: Aligning and Influencing the Channel System	27
2.4.1 Hard Power	28
2.4.2 The Soft Power of Trust and Commitment	29
2.4.3 Programming a High-Performance Channel System	30
2.5 Special Topic: Managing Multiple Channels	35
3 Supplemental Reading.....	39
3.1 Building a Distribution Channel: A Walk-Through Application.....	39
4 Key Terms	48
5 For Further Reading.....	49
6 Endnotes	51



This reading contains links to online interactive illustrations, denoted by the icon above. To access these exercises, you will need a broadband Internet connection. Verify that your browser meets the minimum technical requirements by visiting <http://hbsp.harvard.edu/list/tech-specs>.

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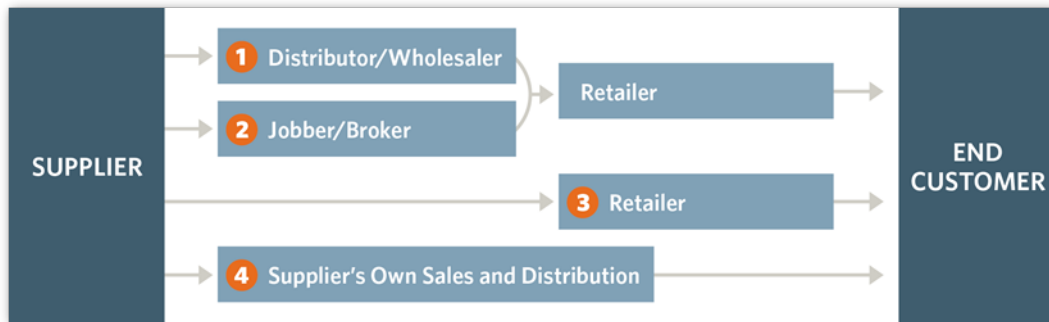
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1 INTRODUCTION

In marketing terms, a *channel of distribution* refers to the venue that a company chooses for moving its products or services out into the world.^{1 2} Whether the company's transactions are primarily business-to-consumer (B2C) or business-to-business (B2B), the key choices of distribution channels are similar in structure, except that the nature of the retail outlet and the functions they perform are more extensive in B2C markets. And the stakes are high: Sales flowing through distributors, such as wholesalers, value-added resellers, and manufacturer's representatives, totaled \$8.6 trillion in the US in 2019.³ Sales through retailers alone were estimated to be \$5.4 trillion in 2019.⁴ Combining the two, after adjusting for overlaps, roughly \$10 trillion worth of goods and services passed through channels of distribution, that is roughly half of the US gross domestic product (GDP). A similar proportion flows through distribution channels in countries throughout the world.

Choosing the right channel can be crucial to the success of the product or service that a company offers. **Exhibit 1** illustrates the key aspects of channel design and management decisions facing one supplier (also known as the producer, assembler, or manufacturer/maker). In this exhibit, the supplier (let's say, a manufacturer of garden tools) has four different ways, or channels, to reach its customers:

- 1 It can go through a stocking distributor (also called a wholesaler), which connects to a retailer, for example, Ace Hardware in the United States, who then in turn serves the end customer. In the case of a service, such as an airline company, the distributor would be called a consolidator.
- 2 It can go through an agent such as a broker (instead of a distributor), sometimes called a jobber, who then serves the retailer.
- 3 It can go directly to the retailer, for example, Home Depot.
- 4 It can go directly to the end customer through its own sales and distribution system; in other words, the supplier employs a team that calls on customers directly or else takes orders on the telephone or, increasingly, through its own online channel.

EXHIBIT 1 Channel Strategy

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Note that for every option except Option 1 (using a stocking distributor/wholesaler), the supplier—in this case, the garden tool producer—would have to store enough inventory to serve retailers and customers effectively. Depending on how large the company grows, this might mean building an infrastructure of distribution centers. In Options 2 and 3, the garden tool producer would also have to manage the logistics for getting its shovels, rakes, and other products to retailers, such as garden shops or hardware stores. If the supplier chooses Option 4, then it would have to hold the appropriate assortment of goods in its own inventory to fulfill and ship customers' orders directly and provide any after-sales service (e.g., replacing or repairing orders that might arrive damaged).

Note, too, that each intermediary in Exhibit 1 performs a different set of channel functions as part of the supplier's distribution channel system. The distributor, for example, performs channel functions such as receiving bulk packages and breaking them down into smaller order sizes, putting together assortments, and shipping to the retailer. The retailer, on the other hand, displays the merchandise, promotes it at stores, and provides the after-sales support where needed. The distributor and the retailer each bear different costs and therefore charge different margins to remain profitable. **Interactive Illustration 1** provides a brief description of the main intermediaries and the functions they perform, as well as an overview of the markups (over cost) or margins (on selling price) that are added as the product or service winds its way through the distribution-channel system.



INTERACTIVE ILLUSTRATION 1 Channel Margins

Click the image or use this link to access the interactive illustration: bit.ly/hbsp2pHJZ5D



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Note: If the Interactive Illustration is not accessible, please see the PDF explanation of the Interactive [here](#).

Using Interactive Illustration 1, consider the following scenario: Wearable technology firm CollarPOP has just signed a contract to sell its latest gadget, a pair of sports sunglasses that doubles as a pedometer, to the national electronics chain, the Circuit Store. CollarPOP cannot sell directly to the Circuit Store. Instead, it must sell through a distribution partner. CollarPOP decides to take a margin of 20% on each unit sold to the distributor. The distributor's margin is 20% on each unit resold to the Circuit Store. The Circuit Store's margins are 14% for all products it sells. Customers buy the product for \$27.95, which is CollarPOP's manufacturer's suggested retail price (MSRP). The product sells well at first, but after a year, the market is flooded with imitators. The Circuit Store recommends that CollarPOP lower its price for the pedometer sunglasses to a more competitive \$22.95 to push sales back up. If all channel partners maintain their original margins, what is CollarPOP's new per-unit margin?

None of the choices in **Exhibit 1** are mutually exclusive, so a supplier could well use two channel options to cover the market. For example, the garden tool producer could sell directly to large retailers (such as Home Depot) who have a chain of stores (Option 3 in Exhibit 1), leaving the distributor or broker (Options 1 and 2) to cover the rest of the market (perhaps small garden stores and nurseries). Sooner or later, the garden tool producer will have to decide whether it should offer its products through a limited number of retailers or cover the

market more extensively. The garden tool producer may also have to brace itself for channel conflicts, if two different parts of its channel system sell the same offering at different prices and service levels. For example, its large retailers may offer the supplier's shovels and trowels at a significant discount compared to what a small nursery can offer. Naturally, this is bound to lead to dissatisfaction in the small-retailer channel. Even if the price levels are held uniformly, the company's large retailers and distributors may balk if the company sells directly through its online channel (Option 4). They would prefer the company to re-direct potential customers to them.

Thus, a supplier needs to make numerous strategic decisions to develop and manage its channels of distribution effectively. Against this backdrop, we offer the notion of **channel stewardship**, which enables a company to design, manage, and, perhaps most important, evolve, its channel strategy, in light of changes that arise in the competitive and customer environments. Channel stewardship leads to high performance, because it is more in tune with the changes in the marketplace.

The Essential Reading section that follows outlines the three disciplines of channel stewardship: (1) mapping the industry channels to get an overall view of the external forces at play, (2) building and updating the company's channel value chain at the field level, and (3) aligning and influencing the roles of the various partners in the channel system and altering their behavior when necessary to promote a high level of system performance. The Supplemental Reading section walks through an application of the second discipline and provides an interactive exercise in which you can build a sample distribution system.

2 ESSENTIAL READING

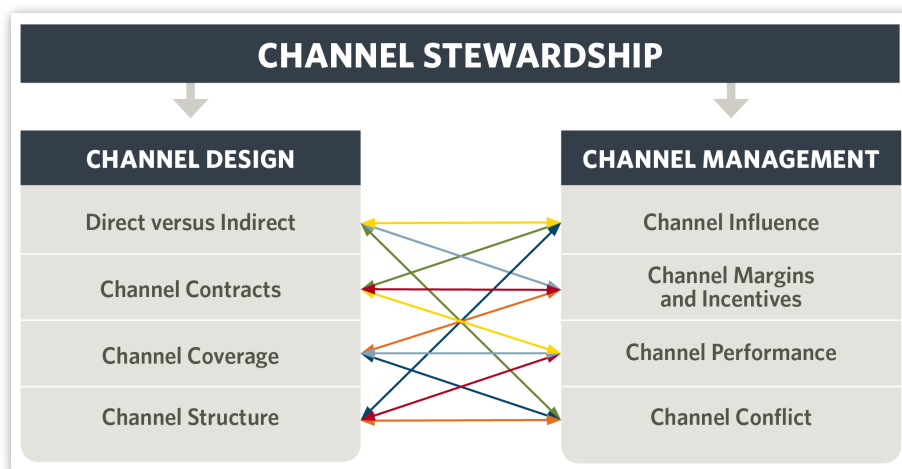
2.1 Channel Stewardship

Typically, decisions about channels are divided into two categories: *design decisions* and *management decisions*. Design decisions refer to the structural aspects of the channel, such as which of the four example routes described in Exhibit 1 to take, or whether to distribute through a selective network of retailers or instead make the product or service widely available to all. Management decisions, on the other hand, include choices about determining incentives and channel margins (profits) and setting the rules that govern the

daily behavior of the supplier and other channel members. **Exhibit 2** provides a brief list of the issues that channel managers often face regarding both design and management.

Poor execution of short-term channel management decisions compromises the integrity of the long-term channel design decisions, leading to a vicious cycle of deterioration in channel performance that is hard to reverse. That's why all elements of channel strategy should be combined under the umbrella of channel stewardship, and the supplier should attempt to use these elements in an *integrated* fashion to adapt and evolve a channel strategy that will keep in step with changes in the market environment.

EXHIBIT 2 Integrated View of Channel Strategy



Unfortunately, firms often do not manage their channel strategies in such an integrated fashion. Rather, they approach things sequentially. First, the producer decides which channel option to use, and then determines how to guide the interaction with the chosen intermediaries. Once a distribution system has been constructed, however, it tends to become cemented. That is when many channel managers assume that channel systems cannot be altered, so they resort to employing flexible channel management tactics to keep the flow of their products to markets. Changes to channel design or structure are considered too daunting and fraught with risk, so managers stay with the status quo.

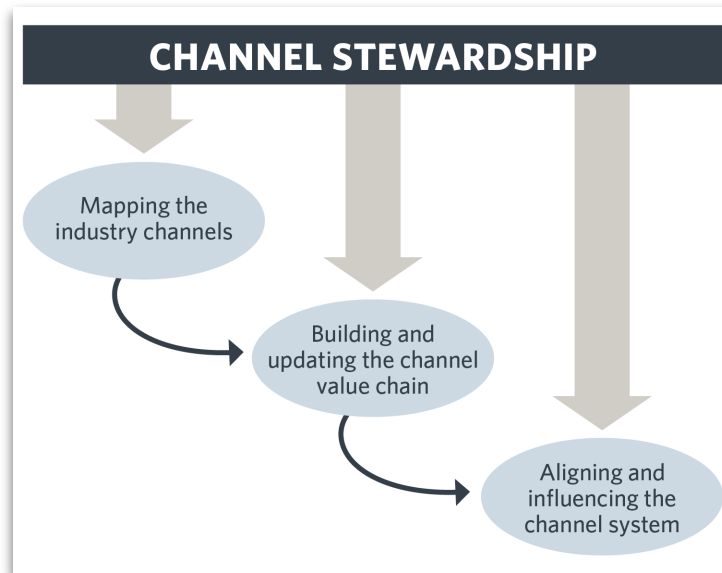
Channel stewardship, on the other hand, enables the kinds of continual adjustments needed to accommodate such market changes. The **channel steward** is more than one person—often a group of senior managers in the company that produces goods and/or services that are then taken to market through intermediaries (distributors and retailers). But sometimes it may be the intermediary who takes on the role of channel steward.

A channel steward helps to ensure customer needs are met. While a number of external forces can determine the success of a company's go-to-market strategy, none is more important than the wants and needs of customers. With the oversight of a channel steward, the channel tasks or functions mirror customer needs as closely as possible. These channel functions create value for the customer by making the product available more conveniently and allowing for better support through information and service.

Because of the value-added nature of channel functions, we will refer to them henceforth as **channel value chain activities**. Broadly speaking, a channel value chain defines the activities that a company undertakes, directly or through its channel intermediaries, to market, deliver, and support its products and services vis-à-vis its customers.⁵ The design of this system is in the hands of the producer and the intermediaries (distributors and retailers). Channel stewardship itself consists of three disciplines, which together allow the channel steward to meet the current market needs, even while continuously evolving and adjusting to meet future needs (see **Exhibit 3**).⁶

The first discipline, *mapping the industry channels*, is the initial step that the channel steward must take: researching and understanding the roles of all the external forces at play, including what competitors are doing. For example, a new technology (synthetic lubricants) might obviate the need to change an automobile's engine oil as frequently. This is bound to affect the business model of auto lube shops, which rely on automobile owners bringing in their vehicles for oil changes at regular intervals. Clearly such a change in the environment has implications for lube oil manufacturers' channel strategy. The second discipline, *building and updating the channel value chain*, defines how a firm carves out a channel strategy for its chosen market segment in the industry. Here's where the firm establishes links to its customers' needs and requirements and crafts a channel distribution system with roles and rules for the various members. The third discipline, *aligning and influencing the channel system*, ensures that the roles of the various channel partners evolve continually in keeping with the needs of the company's target customers. But that's not all: In order for the channel system to be healthy, vibrant, and sustaining, it is important that the rewards and compensation for the various channel members are consistent with their efforts and evolve with their changing roles.

EXHIBIT 3 The Three Disciplines of Channel Stewardship



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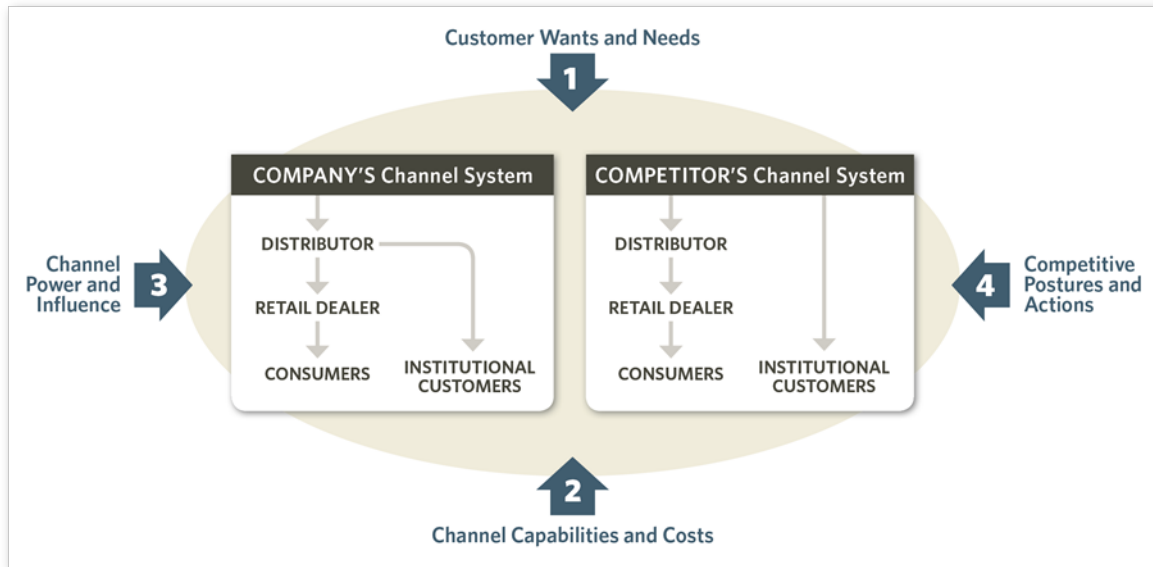
Through the framework of these three disciplines, channel stewardship clearly articulates the goals of the producer/supplier and provides a blueprint for execution. With the guidance of the channel steward, changes in channel design and policy evolve continuously and align with both customer needs and channel-partner profits.

2.2 The First Discipline: Mapping the Industry Channels

The initial step in channel stewardship, mapping a given industry's channels, calls for understanding four major forces that drive the short- and long-term evolution of every distribution channel in that industry (see **Exhibit 4**). The idea of mapping an industry harkens back to Michael Porter's Five Forces Framework, a widely used framework in competitive strategy that maps the degree of rivalry among participants in an industry, the threat of entry by outsiders, the threat of product substitutes, the power of buyers, and the power of suppliers.⁷ While analyzing Porter's Five Forces would no doubt help a supplier learn about the state of an industry's channels to market, a channel steward would do better to map the specific influences that shape a supplier's distribution channel strategy.

In that spirit, the channel steward should first map the status of each of four essential forces influencing channel strategy and then research how the forces came to their current positions. Managers must learn to harness, influence, and navigate these forces to shape an effective, forward-looking channel strategy. The four forces are as follows: customer wants and needs, channel capabilities and costs, channel power and influence, and competitive postures and actions.⁸

EXHIBIT 4 Mapping the Four Forces Affecting Channel Strategy



In the center of Exhibit 4, we show the channel systems of two competitors in the same industry—car lubricant providers—subject to the same forces. The first company’s channel system relies on the distributor to route product to both the retail trade and institutional customers. In this example, this lubricant provider supplies lube oils to shops such as Jiffy Lube through its distributors, who also serve institutional customers such as car rental companies Hertz and Avis. Its competitor, on the other hand, has chosen to supply the institutional customers directly, allowing its distributors to serve only lube oil shops who serve consumers directly. Clearly each company has chosen a different distribution strategy. Whether this is the best fit for each is something that the mapping discipline will unearth.

2.2.1 Customer Wants and Needs

In the context of distribution channels, we must consider customers’ needs to include not just the product or service that a company is offering but also a number of other elements surrounding the purchase. (The sidebar “Questions to

Jump-Start the Mapping Process” offers some basic points to consider when it comes to customer needs, as well as for the other three forces.)

Take an automaker as an example supplier. What kind of information might customers seek as part of their search for a car (e.g., gas mileage, driving comfort, interior space, engineering specifications, accessories, and pricing)? What kinds of complementary products and services might the customer need (e.g., a trade-in option for the used car, an installment payment option for financing the new car, or a generous service warranty)? In other words, think of customer needs as encompassing any and all of the transactions that occur around the product in question.

Thus, the experience of the transaction, and all complementary products and services purchased and/or consumed as part of the transaction, become relevant for the analysis. That fact is made even clearer when we consider a retail example, such as a supermarket. Channel stewards need to understand that the quality and type of shopping experience itself is sometimes as important as the products being purchased. A supermarket customer most often purchases a whole basket of items. There might be meat and bread in the basket, but also yogurt, juice, and paper towels. No doubt each individual product has an identity in the mind of that shopper, but those identities are part of the overall basket. What’s more, the supermarket’s ambience, convenience, and other aspects of service count, too. One supermarket might project an image of high quality and high price, while another might be perceived as a value operator with average quality and everyday low prices.

That’s why, when mapping distribution channels, the channel steward must evaluate customer wants and needs somewhat broadly in the context of the purchase and use, rather than focusing narrowly on the nature of the product or service itself.

Questions to Jump-Start the Mapping Process

By answering the questions listed under each of the four forces below, channel managers can come away with a solid understanding of the forces affecting the industry distribution channels.

Customer Wants and Needs

- 1 What do customers buy, how do they buy, and why do they buy the products and services offered by the various players?
- 2 How do other players in the industry segment their customer markets?
- 3 What influences have affected customers' wants and needs? How have they shifted?
- 4 Are customers satisfied with the output of existing channels? What are the gaps in the channel value chain?

Channel Capabilities and Costs

- 5 What are the industry's broad channel capabilities and costs (e.g., speed of delivery, product assortment, service warranty)?
- 6 How have channel capabilities evolved over time?
- 7 How have channel costs and margins evolved?
- 8 What are the industry's online channel capabilities, in terms of demand generation and demand fulfillment?

Channel Power and Influence

- 9 How has power shifted among the channel constituents—vendors, manufacturers, distributors, and retailers?
- 10 What accounts for the various power shifts?
- 11 Who has gained power, and why? Who has lost power?

Competitive Postures and Actions

- 12 What has been the nature of industry competition? How has it evolved?
- 13 Who is the dominant player? The most profitable? The most innovative? What are their channel strategies?
- 14 What has been the competition at the channel level? How has it evolved? Which is the dominant channel? The most profitable? The most innovative?

2.2.2 Channel Capabilities and Costs

The visible part of a firm's go-to-market strategy is often represented by the salespeople, distributors, retailers, warehouses, transportation facilities, servicing centers, and so on, that mediate the transaction from the point of supply to the point of consumption. The role of these agents and facilities is to add value to the product or service once it leaves the point of origin so that the ultimate end user's wants and needs are duly satiated. Such value-adding activities might include providing information, inventory, convenience, assortment, services, and so on—activities that define the “capabilities” of a channel system. It is not just the physical distribution and logistics piece of the channel; rather, it includes all the combined activities that the supplier and its intermediaries conduct in order to generate and fulfill customer demand. One must not forget the role of online channels. Even if they do not provide physical shipment, their role in providing information and other forms of value should be considered. Whenever such activities are conceived and undertaken, the supplier and its intermediaries incur costs. Thus channel capabilities and costs go together and are an important determinant of how successful a firm's go-to-market strategy will be.

Most practitioners still view the supply chain as the physical distribution component of getting product from the factory to the customer and thus tend to focus on its efficiency aspects. That focus inevitably leads to questions about what can be done to trim the costs of taking the product to market. But the capabilities of the supply chain itself can greatly enhance the value of the product or service. It is not always about efficiency considerations; effectiveness matters, too.

2.2.3 Channel Power and Influence

This third force of channel power and influence is an acknowledgment of the distribution of power among the various players that make up the channel. Obviously the more powerful parties are capable of exerting a higher level of influence on the policies and procedures governing relationships among channel members. Broadly speaking, in the channel context, power comes in two basic forms. The first consists of power associated with having a unique product or technology, and the second rests on having market access and intelligence. These two forms of power usually occur in conjunction with other sources, such as size or scale and dependence. The more powerful party is usually able to influence channel policies in its favor and to allocate a greater share of the channel profits its way. Thus, when doing the mapping analysis, it is important to understand who has the power and how it is distributed, as a way of anticipating the difficulty or ease of gaining market entry or achieving market

growth. The one having channel power need not be a barrier; it can also be an enabler of market reach. With the rise of the internet and the power of online platforms, many small suppliers have gained access to markets that they would not have been able reach before.

2.2.4 Competitive Postures and Actions

The very visible and deliberate hand of competition frames the forces of customer demand, channel supply chain, and channel power. In other words, everything is relative to what “the competition” (both at the manufacturer’s level and at the distributor’s level) is doing currently and also what it is capable of doing in the future. Customers always make decisions in light of alternatives. So the supplier with the channel capabilities that most closely match the customers’ needs and requirements is likely to garner a large share of business from that market. Obviously, in response, other suppliers would attempt to match or exceed the first supplier’s channel offering to have a chance of gaining share. But to do so, they would need the support of their channel partners to implement their plans. These partners are often in competition with other channel systems and sometimes amongst themselves. Thus, a channel steward has to map the forces of competitive actions carefully, both at the supplier level as well as at the channel level, before formulating or altering the organization’s channel strategy.

2.2.5 Mapping Beyond the Four Forces

By working through the four forces we have just outlined, the mapping exercise helps capture an overall view of the channels that are already set up in the industry. When done well, the mapping exercise can also spot opportunities for enhancing channel access and pinpoint barriers that retard channel growth. Drilling deeper to uncover the precursors of elements that shape the core forces, a channel steward might then ask the following questions:

- What are the broad economic trends, and how have they affected the core forces? How will they change in the future?
- Have there been shifts in customer demographics? In customers’ psychographics, or in other socioeconomic or cultural patterns? How have these changes affected purchase and consumption behavior?
- Have regulatory changes affected the demand chain or channel capabilities? Are future regulatory changes anticipated? How are they likely to affect customer needs and/or channel capabilities and costs?
- Have there been any changes with respect to the formal and informal rules governing the trading practices of the channel intermediaries? How are these changes likely to evolve?

- How has technology affected go-to-market strategies in the industry? How has digital transformation changed the nature and economics of distribution? What is its impact on the various players in the channel value chain, including the customer? How has it altered customer behavior?

As a rule, the starting point must be an analysis of the four core channel forces. What follows is mapping beyond the core forces. Eventually the purpose of the mapping exercise is to unearth opportunities for change, while identifying the key impediments that might block it. When the analysis is built on such an understanding, a channel steward is then in a good position to undertake the design of a channel value chain that will garner an evolutionary path to greater profitability for itself and its channel partners.

That is what happened to Michael Dell in 1985, when he founded his startup computer company in an industry that already had players such as Apple, IBM, Compaq, and Hewlett-Packard. Each had a unique way of going to market. Apple was largely focused on consumers and small entrepreneurs doing their own desktop publishing. It sold primarily through computer specialty retailers. IBM, on the other hand, focused on business users of personal computers and sold its products directly, as well as through office retailers such as Business Land. Compaq straddled both the consumer and business markets. Lacking the extensive direct-sales force that IBM enjoyed, Compaq supplemented office retail channels with value-added resellers who could handhold business customers through their initial application needs.

Michael Dell quickly realized that retailers would not favor his brand over the reputation of the top three, especially because Dell products had no features that differentiated them in the marketplace. Dell therefore decided to bypass retail and value-added reseller channels altogether. And, in a stroke of genius, he also chose to forgo inventory, focusing on only a few business customers and taking orders on demand for direct delivery. As a result, Dell could customize requirements for hardware configuration and preload software, deliver the product directly, collect cash, avoid holding inventory, and save the customer the channel margin. In essence, Dell had done an informal channel mapping analysis to identify a direct channel opportunity, which eventually helped to make the company an industry leader.

But as already pointed out, channels continually evolve, and channel stewards must constantly adjust and adapt. As **Exhibit 5** reveals, in the space of four decades, the personal computer industry had at least four leaders including Dell, who, each in turn, lost their leadership positions because the combined effect of the four forces altered the context of the industry channels. The column titled (2005-2010) in **Exhibit 5** is indicative of how technology changes can play an important role in product innovation and channel profitability. With the

increasing efficiency of the supply chain, and development of mobile chips, laptops, and tablets rapidly outpaced desktops as the preferred computing device for many. Simultaneously as the devices became smaller, retailers could earn a higher margin per square foot of scarce retail shelf space. As a result, Hewlett Packard stole share leadership. Consequently, Dell too began to move more products through retail outlets. Starting around 2010 there were further changes. With the end of the global financial crisis, cloud services began to gain traction as a way of meeting the IT needs of many enterprises, big and small. Infrastructure-as-a-Service (IaaS) and Platform-as-a-Service (PaaS), which combined computing, data storage and software, emerged as a growing new market segment, forcing a rearrangement of the channels and the roles they played in serving the customer. Systems Houses which provided turnkey solutions became gatekeepers for entering enterprise accounts. A new breed of solutions delivered via Software-as-a-Service (SaaS) became the dominant mode for a large number of customers. As always, with technology disruptions came opportunities for new leaders to emerge with new channel stewardship styles.

EXHIBIT 5 Channel Evolution in the Personal Computer Industry

	1975-1980	1980-1985	1985-1990	1990-2005	2005-2010
MARKET LEADER	Apple	IBM	IBM and Compaq	Dell	Hewlett-Packard
DOMINANT CHANNEL	Boutique retailers	Direct salesforce Specialty computer stores	Value-added reseller Computer superstores	Direct (telephone, Internet) Value-added reseller Computer superstores Electronics stores	Electronics stores Direct (Internet) Computer superstores
CUSTOMER SEGMENTS	Consumers (hobbyists) Professionals	Businesses Professionals Consumers (education)	Businesses Consumers SMEs (Small and medium enterprises) SOHOs (Small office and home office)	Businesses Consumers SMEs SOHOs	Consumers (education, information, entertainment) Businesses SMEs SOHOs

The four forces analysis we've just explored in the mapping exercise works as a valuable precursor to building and updating a channel of distribution, the topic of the section that follows. Mapping allows a channel steward to understand the

market as a whole, including the channel strategy of the various players and the market segments they focus on. Sometimes mapping alone can lead directly to the formulation of a channel strategy, but at the very least, the exercise sheds light on the company's existing distribution channels in the larger picture of the industry. Ultimately a company has to focus on its chosen product and/or market segment and build and update its channel system to identify the gaps and opportunities at a more granular level, and manage its channel system going forward.

2.3 The Second Discipline: Building and Updating the Channel Value Chain

If a company already has a channel system in place, this second discipline helps refine it so that it is more effective in meeting its channel goals. If a company is starting from a clean slate, however, then this discipline is absolutely crucial to designing an appropriate route to market. One of the fundamental decisions that any company has to make is whether to start by selling the product or service directly or through indirect channels. If an indirect channel is chosen, then through how many layers? For instance, recall that in Exhibit 1, the example supplier had four options for going to market. This decision is especially relevant for business customers. When selling direct to consumers, the supplier almost always needs a retail interface unless it chooses to sell door-to-door or direct online.

2.3.1 Direct versus Indirect

Global retail sales were estimated to top \$25 trillion in 2020, of which the U.S. accounted for a little over \$ 5 trillion. In spite of the Covid-19 pandemic which affected all markets globally, retail sales continued its steady growth at about 5%. The e-commerce part of retail sales, however, grew significantly faster at above 25% globally (and about 45% in the U.S.).⁹ It comprised a little over \$850 billion or roughly 20% of retail sales in the U.S. with the biggest of them all, Amazon reporting record sales topping \$340 billion.¹⁰ In China home to innovative online platforms such as Tmall (owned by the Alibaba Group), and JD.com, the portion of e-commerce sales were even higher, closer to \$2 trillion. Though most projections scale back the e-commerce growth rates to pre-pandemic levels of about 15% going forward, it is clear that online channels are here to stay and will comprise a significant proportion of retail sales. With such a rapid rise of on-line channels, most suppliers have added an online option as part of their go-to-market routes to market. This is true not just for B2C, but B2B

businesses as well. It was estimated that \$1.39 trillion or roughly about 15% of B2B sales was effected through e-commerce channels in the US in 2021.¹¹

Consumer product companies by-and-large prefer to go through distribution and retail partners to reach end consumers. While almost everyone of them had a web presence, much of it was to convey product and company information rather than to sell. Going forward, many companies seem to favor adding a dedicated online channel. Those selling through third party online platforms, such as Amazon or Shopify, have the option of plugging into a well-developed payment and logistics eco-system that substitutes for the work of distribution intermediaries. It has, therefore, become increasingly possible for smaller B2C companies to sell direct. On the B2B side, however, choosing to sell direct or indirect is indeed a strategic channel decision. When deciding whether to sell directly to customers or to go through indirect channels (including online platforms), much depends on six conditions:

The size and distribution of the end customers. On the one hand, if the market is fragmented and dispersed, and if the purchase value of each customer is too small on average to make the costs of a direct sales force affordable for the supplier, the indirect channel is clearly preferable. The advantage of an indirect channel is that the distributor will be able to spread the costs over a portfolio of products and services and reach customers much smaller than those who direct channels alone can afford to target. Moreover, local distributors and dealers are likely to have a closer relationship with end customers because of their local presence. On the other hand, if there are several customers who might buy in large enough quantities to justify the cost of a direct sales force, a company might choose to sell directly to those large customers. Direct selling has the advantage of being able to negotiate and lock in sales for large volumes and quantities.

The nature of the product or service. If the product requires a large amount of education and explanation to the end customer, the direct channel is often preferable. Thus, highly technical products that require a long selling cycle are usually sold directly. Such products often have a high ticket price, which further justifies the cost of a direct channel. Even products that are not that expensive but require considerable explanation of benefits and features are often sold directly, at least initially. In contrast, when a supplier has a product or technology that can be used in multiple applications about which the product owner may not be fully informed, it makes sense to rely on intermediaries who are closer to customers and understand how the technology can be translated. For example, many enterprise software vendors rely on value-added resellers in vertical markets to get their product to work for the end-user.

With the addition of an online channel, it has become feasible to sell the less complex and more complete products, which are easy to install, configure and service, directly. Powered by AI (artificial intelligence) and online assistance, suppliers have been able to sell a range of technical products directly, and provide the service and upgrades directly as well.

The role and position of the product in the end customer's purchasing basket. Some products are bought as part of a bundle of products and services, rather than by themselves. Such sales are better conducted through an intermediary who can bring customers' different requirements together. Thus, an electric motor may have to be sold in conjunction with the appropriate capacitors and relays for it to be useful to the customer, just as vacation travelers may prefer to purchase air tickets, hotel stays, and rental cars from a single travel agent. Sometimes the customer may prefer financing and credit to be rolled into the product offering, which requires a financial intermediary. This is true of indirect online platforms like Amazon that can mix and match orders and bundle them into one or a few shipments all timed to arrive nearly together. In addition to these reasons, all of which are driven by the nature of the product or customer, the direct versus indirect decision also depends on the nature, relative size, and strategy of the producer firm.

The nature of the producer firm. A startup operation or a relatively new company may not have the credibility with customers to get initial adoption. It may need the platform of an established channel partner to position its offerings in the marketplace. Even established firms often find it hard to access customers directly, especially in vertical segments where the technology needs customization or special application knowledge before it can be used by the customer. Indirect channels may be the preferable option under these circumstances. Amazon, for example, had nearly 2.5 million third party merchants selling their products and wares on its platform as of 2020.

The relative size of the producer firm. Here, size is a proxy for channel power. A firm with relatively weak power relative to potential channel partners may be forced to go through intermediaries to gain market access, whether that is its first-choice strategy or not. The important point is that, even if the supplier is big enough in terms of its operations, it will be difficult to bypass an intermediary (a distributor) who has access to the customer.

The business strategy of the producer firm. Regardless of the size or power of the supplier or the nature of its product, a company may often have strategic imperatives that determine its direct versus indirect decision. A company may want to preserve its working capital position and may therefore need the buffer of an intermediary whom it can bill immediately (compared to waiting to recover cash from many customers over a period of time). Often a company may

want to reach as many customers as quickly as possible to achieve a certain scale of operations. At other times, it may choose to keep its business focused on a few customers only, in which case it might sell directly, even if the other product characteristics point toward an indirect channel. It may be a strategic first step, and after getting a few prominent adoptions, the company may then be able to leverage its brand or technology toward wider market distribution through channel intermediaries.

DTC (Direct-to-Customer) Channels:

It is useful to keep in mind that not all on-line channels are direct-to-customer. Often an online platform serves to intermediate the relationship, with competing products sharing the digital shelf space. DTC consumer brands, however, are unique in that they establish a direct relationship. At their core, they are digitally native brands that sell their products and services directly to customers. DTC Brands connect directly to consumer experiences and emotions regarding their product or service. These are brands like Allbirds, Casper, and Glossier, where the consumer experiences the entirety of the product and service directly. The direct connection deepens the level of customer intimacy and brand identity. The brand is the channel, and the channel is the brand. Even though the first wave of DTC entrants emerged around 2010, it was not until a decade later that a few became profitable.

DTC companies benefitted from the rise of several factors, which we earlier identified in the “mapping” section of this note. The rise of the internet and mobile telephony, the demographic shift to Millennials and Gen Z, and a revolution in how people consumed media and behaved in the new marketplace. Changing demographics also led to the rapid growth of social media. Younger consumers were less likely than Baby Boomers to take shopping advice from celebrities in paid commercials and more likely to heed influencers on social media. In keeping with the rise of digital media over the past 15 years, advertisers shifted their spending to channels such as Google, Facebook, and Twitter, where they were increasingly able to target and microsegment in a manner that the mass media never allowed. The DTC entrants targeted mature industries that featured a few dominant suppliers who commanded high prices and margins. DTC entrants located factories that could sell them excess inventory and channeled it to customers at a lower price than what the incumbents were charging at retail stores. Helped by the rise of scalable fulfillment options to make online order processing easier and efficient, many DTC brands mushroomed. But only a few are likely to succeed. By using data gleaned from daily interactions with customers, successful ones will be able to adapt how they serve their unique customer communities across a start-to-finish purchase journey. The best of them will parlay this ability into a profitable

business model applied across multiple channels and customer segments. As they have matured, many DTC brands have chosen to use “omni-channels” as a way extend their reach.¹² To grow, they need the reach of brick-and-mortar channels, and they have to leverage it carefully to gain unique customers at an affordable cost.

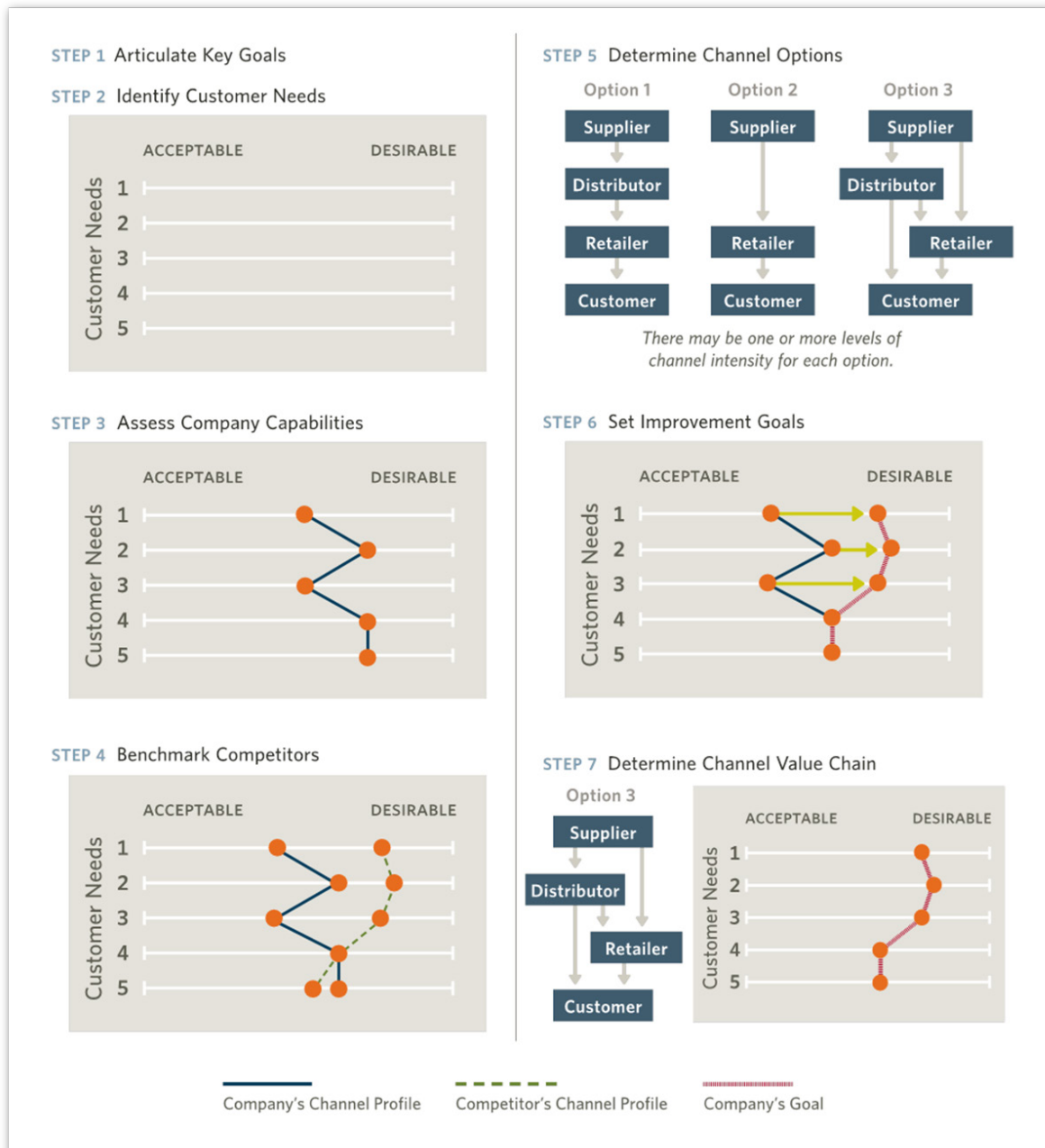
On the B2B (or D2B) side, online channels have by-and-large served as an addition to existing go-to-market routes. They have allowed direct sales channels to be more efficient by freeing up time from pre-sales and post-sales activities. They have allowed for a more systematic way to manage the funnel from lead generation to closing the sale. They have helped their distributors with better market intelligence and information. Some suppliers have partitioned a portion of their product portfolio for exclusive e-commerce activity, ultimately improving the utilization of their sales force and distribution partners’ resources. Regardless of whether a company sells directly or indirectly, coordinating the sales funnel from “generating interest” through to “lead qualification” and “closing the sale,” has become an important channel capability. Digital marketing expertise with respect to in-bound marketing and SEO (search engine optimization), and outbound marketing via SEM (search engine marketing) and influencer marketing have become important components of that capability.

Generally, determining whether to sell directly or indirectly is usually only the first step in designing a go-to-market channel system. Not all indirect channels are the same. They have qualitative differences in terms of what they can do for customers and how they fit the producer’s channel goals. Here is where the fundamental building block of this second discipline becomes useful in building and updating a channel value chain that meets customers’ needs. The framework that follows offers key insights.

2.3.2 Constructing a Channel Value Chain: A Framework for Getting Started

When crafting a channel of distribution, the channel steward needs to analyze the market segments in which the company wishes to do business. The channel steward must know the customer’s wants and needs in each of those market segments, understand the company’s own supply chain capabilities, and work out an estimate of the potential gains in revenues or profits that will result from any change in the company’s channel system. Fundamentally, the exercise is to design a distribution channel that contains the full range of capabilities needed to address customers’ needs. A seven-step framework translates those principles into action (see **Exhibit 6**).¹³

EXHIBIT 6 Framework for Building and Updating a Channel Value Chain



Step 1: Articulate the key goals. A company often has multiple goals for its overarching channel strategy (e.g., seeking efficiencies, expanding channels to grow revenues). The first step for a channel steward is to prioritize those goals.

Step 2: Start with the perspective of the end users and identify customer needs. Although fulfilling customer needs is the primary purpose of a distribution channel, businesses often forget that fact, and instead view the distribution partners as “customers” and rarely look beyond. Channel

intermediaries aren't ends in themselves, however; rather, they are partners in the larger goal of serving end users. Identifying the attributes that customers seek helps define the tasks that the channel must perform.

Step 3: Assess the capabilities of the current company channels in fulfilling customer needs. Using the list of needs identified in step 2, the company makes an honest assessment of where it stands in fulfilling customer needs through its current channels. This assessment should be done for both existing and potential customers.

Step 4: Benchmark against key competitors. In addition to assessing the capabilities of the company's current channel, it is useful to capture the profile of significant competitors who are competing for the same or similar customers.

Step 5: Determine the appropriate channel options. A company's goals, which were laid out in step 1, should broadly determine the go-to-market options and the intensity of market coverage desired. The purpose of this step is to pick a small subset of such options that can realistically meet the company's channel strategy goals and then to evaluate those options from the perspective of what customers would like their distribution channels to deliver. Here's where the analyses from the mapping discipline could serve as useful input for picking the potential options. Each option may be evaluated for different levels of channel intensity or coverage.

Step 6: Set improvement goals. This step overlays the analyses from steps 2 to 4 onto the options identified in step 5, effectively fleshing out the levels of the channel value chain that will address customer requirements. Note how much this step moves the value-chain profile to the *right* toward "Desirable." This will improve the channel's effectiveness but also add to costs. Moreover, the effect will be different across the options in step 5. Depending on how effectively each option moves the value chain right, the upside in terms of revenue, profits, and market penetration will all vary.

Step 7: Determine the appropriate channel option and the channel value chain. Depending on the extent to which a channel steward chooses to quantify steps 1 through 6, it will be able to generate a range of quantitative models to help in its comparison of the outcomes of the various options. One has to weigh the sensitivities of various assumptions built into the model and then judge and select the optimal one. For example, on the upside, a channel option such as the Internet might have great future growth potential. On the downside, the same option might create channel conflicts with existing loyal distributors.

In the Supplemental Reading, we offer a disguised case example that expands on these seven steps and an interactive exercise that allows readers to simulate the seven steps of constructing a value chain.

The key takeaway lesson from the framework is what is often referred to as the Iron Law of Distribution. A supplier at the head of a channel system may add, cancel, or replace channel intermediaries. But in the end, the company must orchestrate a channel system that performs the critical functions that customers require to gain their loyalty. It may not be the case that a supplier will be able to perform those functions at a lower cost than an intermediary could. With the rise of online platforms, many efficient ways of reaching the market have opened up. The question really is how effective they are in serving customer needs. Moreover, it is not always easy to pick who in the channel system may be able to do a particular channel function most effectively. And, of course, much of that depends on what support the channel members receive to help upgrade their capabilities.

As a guiding framework for formulating channel strategy, the methodology makes a powerful statement regarding channel stewardship. The *channel*, as an entity, creates value. It is not simply a conduit to reach the customer. The seven-step approach encourages stewards to make a deliberate distinction between the *roles* that the channel plays and the *institutions* (such as distributors, wholesalers, agents, and retailers) that represent those roles. Even when channel institutions do not change, the steward, by evolving their roles, sets in motion a process for shaping their capabilities to serve customers as the market environment changes.

That is why it is important not to view the framework as a one-time exercise. A channel steward, having developed a frame of reference, must continue to assess and mold the channel value chain to ensure that it is always at the leading edge, ready for change. While the mapping discipline culminates in the identification of opportunities and threats in light of industry dynamics, the building and updating discipline brings the mapping analyses closer to home by identifying the strengths, weaknesses, and gaps in a company's distribution channels.

This discussion brings us to two further points regarding channel building and updating. How much **coverage intensity** of end users or customers should a channel steward seek? And what channel structure should a steward settle on?

2.3.3 Channel Coverage

There is no hard-and-fast rule as to whether a channel steward should seek intensive and overlapping coverage of customers versus a more selective coverage through a few, carefully chosen distributors and retail dealers. In general, intensive coverage is preferred when the product and its features are well known and well branded (e.g., Coca-Cola), or so completely commoditized that the products are indistinguishable from each other (e.g., milk). Under those

circumstances, customers choose products that are easily available and convenient, hence the need for widespread availability. The same applies for consumer durables and B2B products. Televisions and agricultural chemicals, for instance, are made available wherever customers are likely to shop, even if the same product is available in two competing outlets. When a product requires significant assistance of the channel intermediary in making the final sale, distributors and dealers must be chosen selectively. Otherwise, the channel steward runs the risk of unhealthy competition among its own intermediaries. Often the hard work of communicating, persuading, and handholding may be done by one dealer, whereas another dealer in the same market area who skimps on the costs of such activities might be able to attract the customer by virtue of lower prices.

If channel conflicts persist, the value-adding distributors are more likely to become disenchanted with the steward's business model and turn their attention elsewhere. There are other considerations as well in determining the intensity versus selectivity of channel networks. Revenues and costs are one thing, and potential channel conflicts are another, but perhaps the most important consideration has to do with the channel steward's desire to work closely with, and invest in, the channel partner. Such close and cooperative channel relations thrive best when channel systems are more selective rather than intensive.

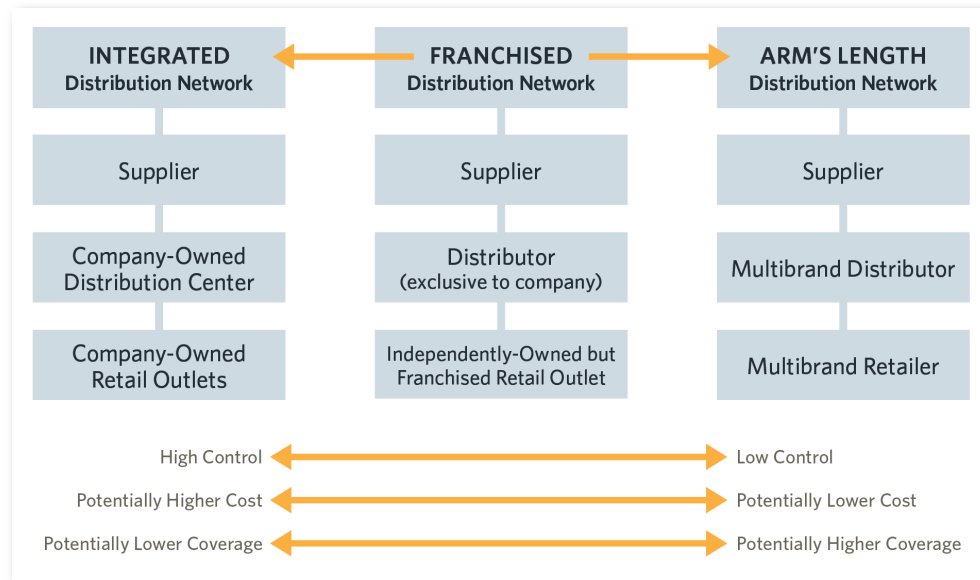
2.3.4 Channel Structure: An Integrated versus an Arm's Length Approach

Channel systems come in many different flavors (see **Exhibit 7**). At one extreme is a vertically integrated system, where the producer owns the entire downstream distribution and retail network. Zara, the Spanish apparel retail chain known for its superb *quick-response (QR) system*, provides a good example of a completely vertically integrated channel.¹⁴ Zara owns all its stores worldwide, so it is easy to see how this manufacturer can exercise complete control over the behavior of its intermediaries, all the way down to the customer.

At the other extreme is an arm's length distribution network, where the producer might not have control of the pipeline to the customer; in fact, the producer might not even have a clear line of communication to the end customer. What's more, in such a system, third-party intermediaries might not even rely on the producer for most of their business, making it unlikely that the producer can influence the intermediary to fall in line with its channel policies. Manufacturers of consumer packaged goods, like Procter & Gamble, depend heavily on big retailers (for example, Walmart) who carry a wide assortment of

products from many suppliers and agents. Similarly, electronic goods manufacturers like Samsung and Sony rely on Best Buy and other electronic retail chains to market their products to customers. As pointed out earlier, retailers like Walmart and Best Buy have considerable clout and their own brand power to attract customers. Therefore, they might be less susceptible to influence from powerful manufacturers.

EXHIBIT 7 Channel Structure



Between those two extremes are a variety of channel systems that afford the manufacturer with varying degrees of influence. In a franchise system such as McDonald's, for example, the retail stores are all independently owned, yet the franchisee is 100% dedicated to following the policies laid out by the brand owner. On the other hand, a car dealership is also a franchised operation, but the manufacturer might not have the same level of control over all aspects of the dealership's sales and marketing activities. In the B2B arena, some equipment manufacturers like Caterpillar are well-known for their tightly integrated system, even though they do not own any of their distributors. The company's distributors are solely focused on Caterpillar equipment and do not carry competing or even complementary items, thus serving as extensions of Caterpillar's marketing and sales activities. Even if producers do not have such a high degree of control, however, they might still have influence over arm's length intermediaries by virtue of their brand power, their product quality, or the special nature of their product or service.

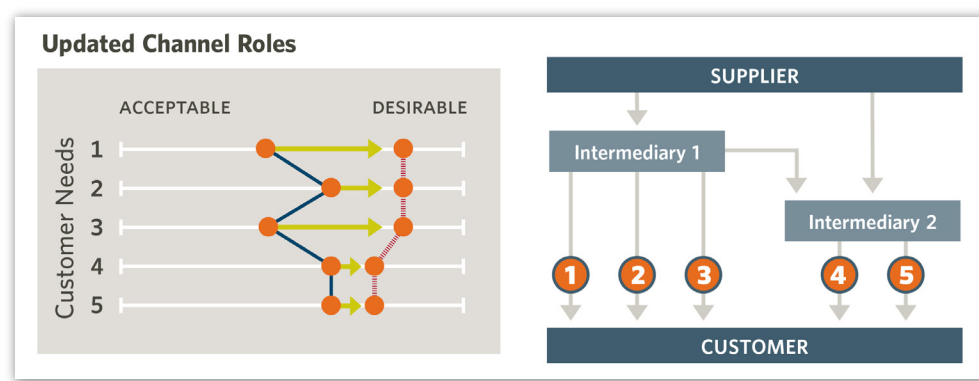
In selecting a channel structure when applying the second discipline, building and updating the channel value chain, the channel steward implicitly makes a

choice about where along the spectrum he or she would like to locate the company's channel strategy. The structure selection also implies a degree of control that the steward would have to seek to set the channel system on a course for high performance. But when all is said and done, such a choice is simply a declaration of the channel system's direction. The task remains to get the job done, as we will see next.

2.4 The Third Discipline: Aligning and Influencing the Channel System

The third and final challenge of channel stewardship is to implement the carefully built and updated channel value chain in order to achieve the strategic goals laid out by the channel steward (see **Exhibit 8**). Fundamentally, that means getting the different channel members to do, effectively and efficiently, the tasks that create value for the customer and ensure that all participating members are rewarded accordingly. Doing so requires the steward to facilitate agreement among individual channel partners about the worth of the value added that each partner brings to the value chain and to persuade channel partners, as needed, to modify their practices for mutual benefit. It requires considerable handholding, persuasion, and development of incentives commensurate with each channel member's effort. As shown in Exhibit 8, there is a wide gap between what the company's distribution system currently delivers and what its goals are (the red profile). Both Intermediary 1, who is charged with delivering activities 1, 2, and 3, and Intermediary 2, who is charged with delivering activities 4 and 5, have to upgrade their capabilities to be able to do so. This is not easy and will happen only through negotiation, persuasion, and hands-on management effort by the channel steward.

EXHIBIT 8 Aligning Channel Intermediaries



Note that, in practice, each partner/intermediary in the channel generally has a vastly different interpretation of the others' value-adding contributions. There is usually no collective, reasoned agreement, and therefore there almost never comes a point when all parties agree to change for the greater good. In fact, it is not at all uncommon for individual agendas to take over. After all, channel intermediaries are independent business entities, each with their own financial and strategic goals that may clash with those of the channel steward. Gaining alignment, therefore, depends on how well a channel steward can influence the channel partners. An astute steward judiciously blends the tools of hard and soft power to manage, motivate, and influence channel partners. Although *power* generally refers to the ability of one actor to influence the actions of another, in reality, the exertion of power in channels is somewhat more nuanced. It is more about influence than force, and it is achieved through a variety of means that are aimed at protecting and growing one's business interests. Gaining channel influence explicitly recognizes that all intermediaries in an effective channel value chain are mutually interdependent.¹⁵ Effective channel stewards convince their channel partners to buy into the idea that "a rising tide lifts all boats," as the saying goes.

Let's look at the nature of hard and soft power as it applies to influencing the channel value chain.

2.4.1 Hard Power

Broadly speaking, in the distribution channel context, hard power comes in two basic forms.¹⁶ The first consists of power associated with having a unique *product/technology* or *brand*, and it is, by and large, under the control of the producers, who typically try to gain influence through activities such as product quality, product design, and branding. If they can create and demonstrate value that is uniquely attributable to their efforts, obviously they will be able to convince their channel partners to fall in line with the roles they should perform to serve the end customer best. Because customers are attracted to the channel intermediary primarily because of the producer's influence, channel partners are likely to tolerate the producer's attempts to get them to do the tasks and functions required to serve the end customer. They may not do it willingly, however, if their incentives are not commensurate with their expectations. Managing this requires much discussion and negotiations, which are mediated by the channel steward.

The countervailing aspect of producers' power is *market access and intelligence*, a form of power that is usually in the hands of distributors, retailers, and other channel members closest to the customer. Intermediaries typically try to gain influence by providing access to hard-to-reach customers and/or

customers who need a product/service bundle of which the target manufacturer's products are only a part. The intermediary's power and profits increase when it provides the bulk of the value-adding services that customers really care about.

Therefore, a channel intermediary may sometimes appropriate the *brand power* that a particular supplier normally enjoys. For instance, when a retail giant like Walmart is a channel intermediary, that retailer's ability to offer high value and low cost to customers often trumps the value of any particular product brand.

The point is that all parties gain when customer needs and channel capabilities are truly aligned. Aligning the various players involved in this task and ensuring that customers receive value—and that channel partners receive a fair return—are the main objectives of channel stewardship. Essentially, channel alignment and coordination are the key to enhancing channel value chain performance, because the suppliers and their distributors often own only a part of the channel value chain. Some channel players may have a greater input on the product side and others on the market side, but neither will optimize their returns without the help of the other's contributions.

Of course, a supplier and/or members of a channel sometimes choose to engage in what amounts to a power struggle, each using their assiduously accumulated sources of power. But usually that amounts to a zero-sum game. If the struggle continues without any party adequately sharing the gains from the collective effort, then such a channel system will likely lose stability. Therefore, to keep the system harmonious in the long-term, it is important that all channel parties judiciously blend the use of hard power with soft power.

2.4.2 The Soft Power of Trust and Commitment

Soft power can be summarized and synthesized through a core set of constructs: trust and commitment.¹⁷ Even though these constructs are often used interchangeably, they have a distinct meaning. Fundamentally, soft power helps to build a constructive relationship among the members of a channel system.

Trust is the act of relying on the other person's words or actions as being the most likely to promote favorable outcomes for oneself. Trust involves having confidence in the other person's integrity and reliability. In other words, the partners know, through their history of dealing with each other, that despite being vulnerable to the other party's actions, the outcome will likely be a positive one.

Commitment, on the other hand, is the pledge of continuity and adoption of a long-term view, with a willingness to make investments and sacrifices to achieve a goal. Commitment, like trust, is undertaken with the view of enhancing the channel value chain as a whole, so that the end result for each party is superior to what it started with. Trust, in essence, is a statement of the history of the relationship; commitment is a statement of future intentions to maintain or enhance the relationship. Even though these constructs have meaning and applicability at the individual as well as at the organizational level, in the context of channel relationships, it is useful to think of trust as an interpersonal construct and to think of commitment as an inter-organizational one.

Channel stewards or any member of the channel system, should not confuse the action of building power (hard or soft) as being the end goal of channel alignment. Rather, the goal, of course, is channel performance! It is useful therefore to understand the structure of the channel system and how the tools of hard and soft power may be deployed. The structure of the channel may appear to be determined by the choice of channel options in the building and updating stage, but the way the channel is governed and managed is very much determined by the alignment discipline.

2.4.3 Programming a High-Performance Channel System

As already pointed out in **Exhibit 7**, in a vertically integrated system, the channel steward has complete control; in a completely arm's length system, the channel steward has very little control. In practice, there are varying degrees of control between the two extremes. By "control," of course, we are referring to the degree to which a channel steward is able to promote and implement an agreement, formal or informal, that specifies the different roles, responsibilities, and obligations of the channel intermediaries and the corresponding compensation mechanisms.

For example, in a formal franchise system, a franchisor (which usually holds the channel steward position) has clear expectations of product quality, store layout, and service standards written into the contract. The minimum percentage of revenue to be spent on advertising and promotional activities, as well as the royalty payments to the franchisor (or brand owner), are also specified. But even without such legally binding contracts, channel stewards may be able to promote behaviors that align the roles and responsibilities of channel partners who serve end customers. For example, certain distributors and dealers who primarily carry one producer's products and services are hugely dependent on them for the success of their business. Essentially, they become extensions of the producer's sales and marketing arm and therefore may be expected to act and market as desired by the channel steward. On the

one hand, having such a high degree of control enables a producer to program the distribution channel system to perform the channel functions and roles that would enhance value for the end customer. But on the other hand, the high degree of dependency also obligates the producer to ensure that the channel partners receive a fair and adequate return for their efforts and investments. While it might be easier to program the channel value chain to mirror customer needs and requirements closely, it could also increase distribution costs.

In comparison, it is obviously much harder to program an arm's length channel system to fall in line with the producer's vision of what roles each channel member must play. For example, the channel member might not be so dependent on the producer for its business success. The producer's product line might be only a small portion of its overall portfolio, and the intermediary may run its business to be more in tune with its other suppliers' channel goals rather than the channel goals of the target producer. Under these circumstances, it would be unproductive to discuss what role the intermediary must play on the target stewards' behalf. Instead, conversations should revolve around transactional matters such as prices, quantities, and other incentives and targets that promote the flow of goods to the target customer. When a producer's commercial terms do not achieve the desired channel behavior to address the customers' needs, the channel steward may have to resort to doing such value-adding activities itself or through another channel partner. Thus, channel stewardship is also about exerting hard power when necessary.

For example, a channel steward might pull customers into a retail store by educating and persuading them outside the channel through advertising, promotional, and other such campaigns. Coca-Cola is a prime example of a company that influences consumer brand choice through intensive advertising—so much so that even before the consumer enters the store she or he is looking only for Coke. Other companies such as Procter & Gamble might draw customers in through their reputation for quality and value, while Sony might do so with its reputation for leading-edge technology. Regardless of what the source of the “pull” is, customers have made the brand choice before even entering the store. The retail intermediary's role is then reduced to providing the appropriate shelf space and merchandising. The retailer may not have much pricing leeway either, because of price competition from other retailers selling the same brand. Notice how, by taking this action, the channel steward has molded the collective functions provided by its channel system to meet customer needs. Over time, then, every channel system becomes “programmable” if the channel steward constantly attempts to iterate and implement the four-step channel system alignment process, as shown in **Exhibit 9**.

EXHIBIT 9 Four-Step Channel System Alignment Process

Step 1: Set goals and targets. First and foremost, any attempt to align and influence a channel must start with clear, *quantitative* goals for the channel system: sales, market penetration, market share, channel cost reduction, and so on. These goals could also include quality markers, such as customer satisfaction scores, customer loyalty and retention measures, and so on. One cannot lose sight, however, of the central goal of improving the channel's economic performance.

In most instances, such system goals evolve out of a series of dialogues with key intermediaries, but in some others, this process may be undertaken unilaterally by the channel steward, especially if the intermediaries are numerous, fragmented, and dispersed. Under such circumstances, it is important to translate individual member goals as a consequence of the system goals. The steward then has to build these goals as part of the individual channel member's performance profile.

Step 2: Assign channel roles, responsibilities, and rewards. At the center of the channel value chain is the idea of linking the supplier to its customer through the intermediary. Products and services flow through the channel to the customer. In the terminology of channel stewardship, this is where customer needs and channel capabilities come together. The second discipline of building and updating the channel value chain provides the channel steward with a road map of what to do. The third discipline of aligning and influencing makes the assignment of channel roles, responsibilities, and rewards kick in to action.

Before assigning the channel roles, responsibilities, and rewards, the steward must carefully assess the power positions (hard and soft) of the various members in the channel system. In other words, the level of trust among key decision makers across channel dyads and the level of commitment among organizations in the system are also key dimensions to understand and manage.

Any change calls for constructive negotiation of the channel roles that various members will play. This is by no means an easy task, especially the negotiations on how much to pay for the roles played and performance delivered. Often the fruits of negotiations at this point will become clear only later. Investments in channel capabilities will take time to show results. Nonetheless, channel stewards must invest here to ensure the channel's long-term health and effectiveness.^{18, 19}

Step 3: Measure and monitor performance. The purpose of aligning the channel is to attain a superior level of channel system performance. Channel stewards therefore should also collect and share with their channel partners any and all critical customer needs and channel capability information. In addition to indicators such as sales, market share, costs, and margins—all measures of output—measures of capability such as technical service capacity, service quality, depth of reach and coverage, and order fill rate become important to measure and track. The channel stewardship model rests on making the appropriate investments to get a measurable impact on the outcome. Channel stewards must monitor input, output, and outcome data wherever possible.

Step 4: Update and invest in appropriate channel capabilities. Every year, the channel steward must sit down with members of her or his channel network and share the analyses about where the channel system stands with respect to addressing target customers' wants and needs and not simply discuss financial goals and metrics. When problems arise in any of these areas, channel members must agree to take corrective steps to alter behaviors and make appropriate investments in channel capabilities. Such conversations are by no means easy, because inevitably they involve questions of compensation and margins. That is why having a shared understanding of what creates value is so important. In some cases, the channel steward will need to make long-term investments (commitments) to its channel members to facilitate certain productive behaviors. At other times, the channel steward may have to phase out some channel members who aren't able to create value for customers. These are not easy conversations, but it is certainly better to resolve these issues, rather than rely on short-term accommodations alone to achieve channel system coordination.

Managing Horizontal Channel Conflict

The aligning and influencing discipline is aimed at promoting harmony in vertical relationships between the producer and the middleman. Another important aspect of the third discipline is smoothing over horizontal conflicts among the system's various intermediaries.

In this section, we have explored the concept of stewardship in a vertical value chain connecting the supplier to its end customers. But suppliers often make several products or product lines and support each of them differently to meet the different needs of customers across market segments. Sometimes suppliers attempt to reach a variety of customers with varying needs. At other times, they focus on covering different geographic areas. Such strategies call for multichannel stewardship, where direct channels and a variety of indirect channels may all be a part of a company's channel system.

Of course, it would be easier if markets and channels were neatly insulated from one another and each could be optimized as an independent vertical system, often referred to as a *silo*. Sometimes such separation can be achieved by offering the different channels a differentiated product, service, or brand. But that is not always possible, and therein is the challenge. If the channels cannot operate as silos, then in addition to managing the appropriate vertical market system for each product/channel/customer combination, the producer now has to worry about spillover effects from one silo to the other(s). The first step in any coordination strategy is to create boundaries among channels, so products or customers will not spill over.

The channel steward also needs to know if any price differences exist among channels for the same products, something that almost always ensures channel conflict. If customers are substituting product offerings from the different channels, then the channel steward should make sure the various channels are all viable, even if they all do not receive products at the same price. In other words, some price differences that are consistent with product/service differences are fine, but not others. No matter what, the channel steward must ensure that each channel has a viable group of customers and a viable business at the price/service combination implicated by market circumstances.

With the increasing availability of the Internet, the opportunities for producers to use multiple channels have proliferated. It may not always be possible or even desirable to tame multiple-channel conflicts completely. Offering customers multiple ways to buy a company's products often has the positive benefit of expanding sales and market penetration. The goal should be to contain the conflicts that disrupt the company's primary channel goals. If such conflicts lead to a downward price spiral and/or deterioration in the fulfillment of critical channel functions by important members of the channel, then clearly the conflict has to be managed and governed to keep harmony in the channel system. At other times, one may have to accept the presence of collateral conflict in the larger interests of advancing a company's channel goals.

Channels are more likely to be profitable when they are overseen by competent channel stewards. Indeed, the purpose of a channel steward is to

expand value for the company's customers and thereby accomplish the company's economic goals.

A second more subtle outcome of channel stewardship is a more tightly woven and yet adaptable channel. The focus is on first identifying what must be done and then on where the work will reside and how it will be done. Ultimately, stewardship involves careful construction and management of channel relationships, so that the valuable members are suitably rewarded and the less valuable members are weeded out.

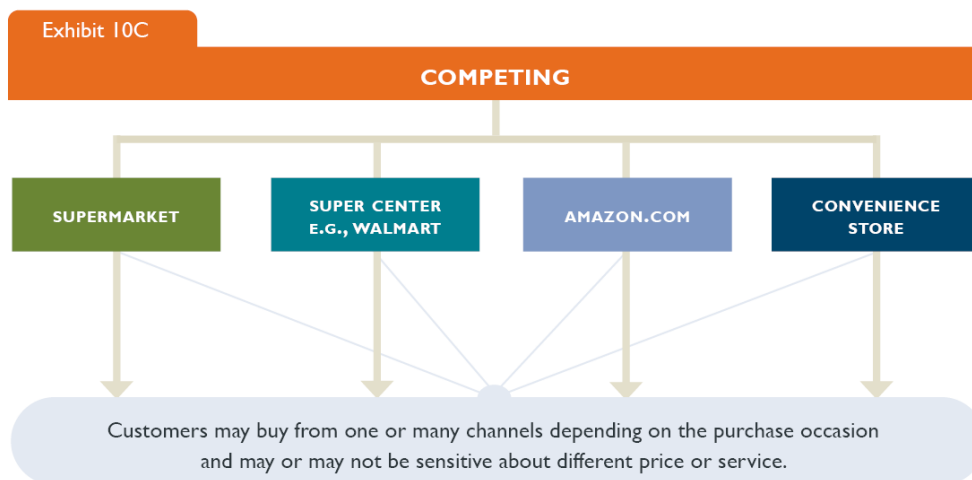
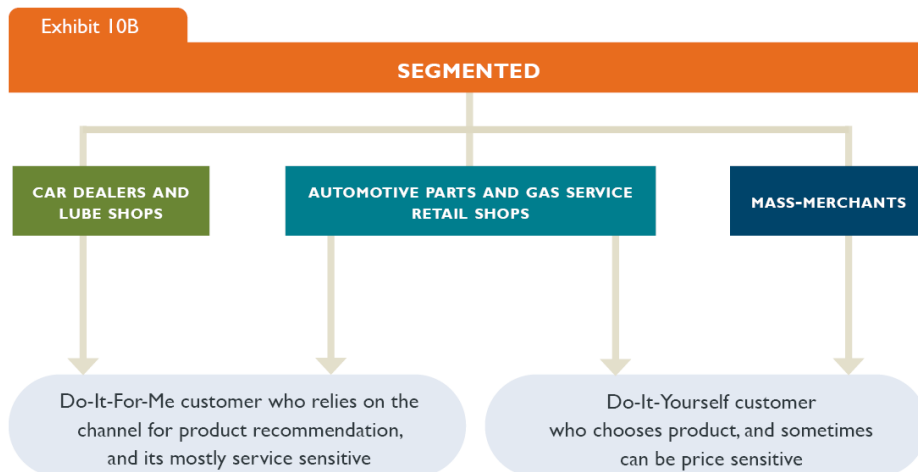
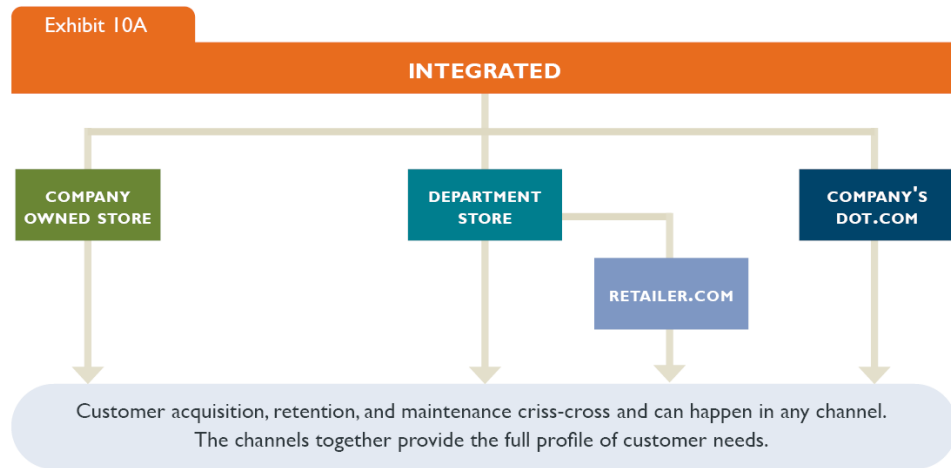
In the Supplemental Reading, you will be introduced to a disguised company and an interactive exercise that will guide you through the steps for building a channel.

2.5 Special Topic: Managing Multiple Channels

Clearly, many customers find online buying a convenient option. The convenience of being able to purchase from one's computer, or mobile phone, the ability to search the breadth of products, the availability of product information along with the ease of being able to price compare, have all prompted consumers—and business customers—to shift a portion of their purchases to online options.

Multiple channels come in many flavors (see **Exhibit 10**). Each is predicated on the goals of the channel steward. In the discussion that follows, we provide a design template to coordinate the various activities governing its effective functioning.

Exhibit 10: Multiple Channels Come in Many Flavors



Integrated Channels: Consider the steward of the channels shown in **Exhibit 10A**. The company sells a branded line of cosmetics through three separate channels. One is the company's own specialty store placed in choice locations serving as a branded entry point for educating consumers. Store personnel provide information, consultation, and advice, and sell. The company also sells its merchandise through a selected network of department stores, where it attempts to provide the same level of service, but cannot control it because the service is delivered by department store personnel. Finally, the company has its own dot com channel where customers may visit, gain information, and buy. In addition, there is a fourth channel, that is the department stores' own dot com channels.

One would expect the company's own store to do the bulk of the customer education, with help from its dot.com channel and paid advertising. One would expect the department store channel to provide a convenient access point for follow-on purchases, as also its own dot.com channel. But it is also conceivable that some customers come into contact with the brand at a department store and make their first purchase there. From the preceding description, it is clear that the customer journey may start anywhere and end anywhere among the company's three (or four channels). It is imperative, therefore, that the company attempts to maintain as uniform a pricing and promotion policy as possible. The customer must experience the brand in similar ways regardless of the channel. This calls for an integrated multi-channel management. This is what is meant by a true Omni Channel experience. To enable seamless coordination, a company would need an integrated customer and channel management system.

Segmented Channels: In contrast to the previous example, consider a channel steward who makes and sells branded automotive oil lubricants for a car's engine and gear box. The company's channels are illustrated in **Exhibit 10B**. Its first channel is through automotive car dealers' service shops and lube shops. These channels would buy in bulk to service the many cars they attend to on a daily basis. The second channel is through automotive parts shops (retail) and gas/service stations for consumers or service attendants to pick up small sized packs for immediate or one-time use. The third channel through large retailers like Walmart or Costco is for customers who price compare and buy from the lowest priced vendor. Such customers might do the service themselves or take the oil to a service shop who will change it for them. One would expect the customers who go to the three different channels to exhibit quite different buying and usage behaviors. The car owners who take their cars in for servicing to auto-dealers or lube shops may or may not be insistent on the lube oil manufacturer's brand—they probably rely on the service shops' recommendation. They could be classified as do-it-for-me (DIFM) customers. The customers who buy in the auto parts retail shop or at the gas/service station

may have a preferred brand of their choice but will also consider the retailer's recommendations. They may get the oil change done by the service attendant. The customer at the mass merchandizer could well be somebody who chooses the brand off the shelf and does the replacement themselves, a typical do-it-yourself (DIY) customer.

The DIFM and DIY customers will hardly cross channels. Their needs and expectations are likely to be different. This will give the manufacturer room to differentiate their offerings to the two channels. The price per unit to the channel that buys in bulk could conceivably be less. The cost to the DIY channel is also likely to be higher because of the branding and merchandizing costs. Even the packages would look different. As long as the customers are segmented, it is possible to carefully segment channels as well, thus minimizing the potential for conflicts. But when a powerful large retailer like Walmart or Amazon negotiates prices down for similar grades and pack sizes as the DIY retail channel (auto-parts store), then conflicts are likely to break out. Customers crossing channels will view the significant price differences across channels in poor light. The channel that invests in promoting the brand and delivering the service is bound to feel aggrieved. Customers would use its information and education services to learn about the product but place the order with the lower priced "free rider." Such a conflict, as mentioned elsewhere in this article, could become harmful all around, and must be astutely managed by carefully segmenting the offerings. If that is not possible, the supplier must find ways to compensate the service providing channel for its services, or in some cases even walk away from the offending channel.

Competing Channels: In this scenario, the manufacturer may sell through multiple channels as shown in **Exhibit 10C**. Channel 1 might be a supermarket grocery channel, channel 2 a supercenter like Walmart, channel 3 an online platform like Amazon, and channel 4 a corner convenience store. The prices across the four channels are likely to be quite different not only because of the bargaining power of each channel but also because of their different business models and cost structures. If the manufacturer would like to maximize its sales, it would have no choice but to make products available across all channels without bothering to coordinate and promote price and service uniformity. Some consumers are likely to be channel loyal and buy only from a particular channel, so they may not notice the difference, but even the cross-channel shoppers might not mind the price/service difference because that is what they have come to experience and expect. For example, we all know that the unit price of a can of Coca-Cola will differ across the four channels illustrated in Exhibit 10C, but consumers may not be sensitive to it because of the differing occasions and different pack sizes they choose to buy across the different channels.

Suppliers selling online through platforms like Amazon gain instant distribution and reach. During 2020, reportedly 63% of all product searches on the internet began with the e-commerce giant. But the downside is that they have to also face instant price comparisons and rival quality claims from competing brands, thus conflicting with their own direct online or off-line channels. One option then, especially for those with strong brand-pull, is to sell “through” rather than “to” Amazon. When doing so, the channel steward could maintain their unique brand positioning, merchandizing, and pricing. The entire portal is dedicated to their brand. Selling “to” Amazon is quite different. It is akin to selling to an intermediary who is free to buy several different brands from competing suppliers. They would then put together a combined planogram (in this case a “web page”) for customers to choose product from. A reason why some suppliers sell “to” Amazon, is to ensure that when a consumer searches for the category and not the brand, they will still find selected SKUs from the brand in their search, along with other offerings from competing suppliers. The intention is to intercept the consumer, and hopefully in the long run redirect them to their preferred channel.

3 SUPPLEMENTAL READING

3.1 Building a Distribution Channel: A Walk-Through Application

Here we use a disguised case study (Beta Company) to illustrate the key concepts underlying the seven steps outlined in the Essential Reading for building and updating a channel and how these steps apply in practice in a business-to-business setting. To emphasize the core logic of this important discipline, we have skipped the detailed elaboration and quantitative analysis supporting the example.²⁰ Instead, we present the bare-bones architecture, knowing well that different protagonists in different industries will need to adapt the proposed framework to suit their needs.

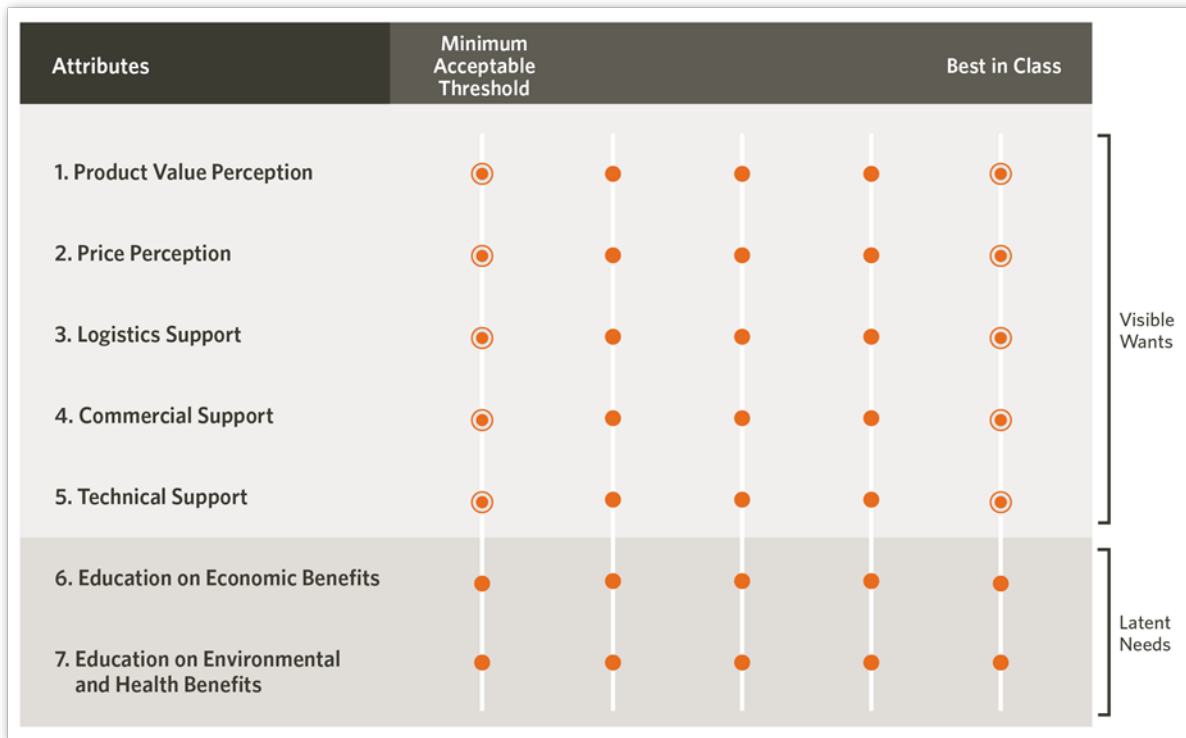
Beta Company was a leading chemical company that traditionally made a range of chemicals used mainly by large industrial companies. But now it had formulated a product that small machine shops would find useful. Laboratory tests showed that the product was ten times more effective than competing products, so Beta was attempting to design a go-to-market strategy for this small and medium enterprise (SME) market segment. The company sold a similar chemical for the metal-processing shops of large customers entirely through 15

large industrial distributors (called formulators in this case). Beta's strategy for the SME market relied on the same 15 industrial distributors, who would then route the product to the roughly 3,000 industrial retailers (called industrial supply houses [ISHs]), who would make the product available to small users. At the time, Beta estimated a market size of roughly four million units per annum for the 150,000 SME customers, if they used the product at the recommended frequency. The market had the potential to equal or exceed its large customer business.

Beta (acting as the channel steward in this case) used the seven-step process for building and updating channels. It began by articulating its marketing goals and then continued through to the final step:

Step 1: Articulate the key goals. In this case, Beta simply wanted to penetrate the substantial SME market and to grow revenues and profits.

Step 2: Start with the perspective of the end users and identify customer needs. The end users were clearly the small metal-shop owners who were seeking high product performance and a competitive price. The SMEs requested logistics support (convenient channel access, product availability, and pack sizes), commercial support (credit terms, merchandising support, and promotional allowances), and technical support (information and guidance on product usage and safety, often involving installation and operations support). In **Exhibit 11**, we label these five requirements as customers' *visible wants* because they are what potential customers expressed as their wants.

EXHIBIT 11 Beta Company's End-Customer Channel Requirements

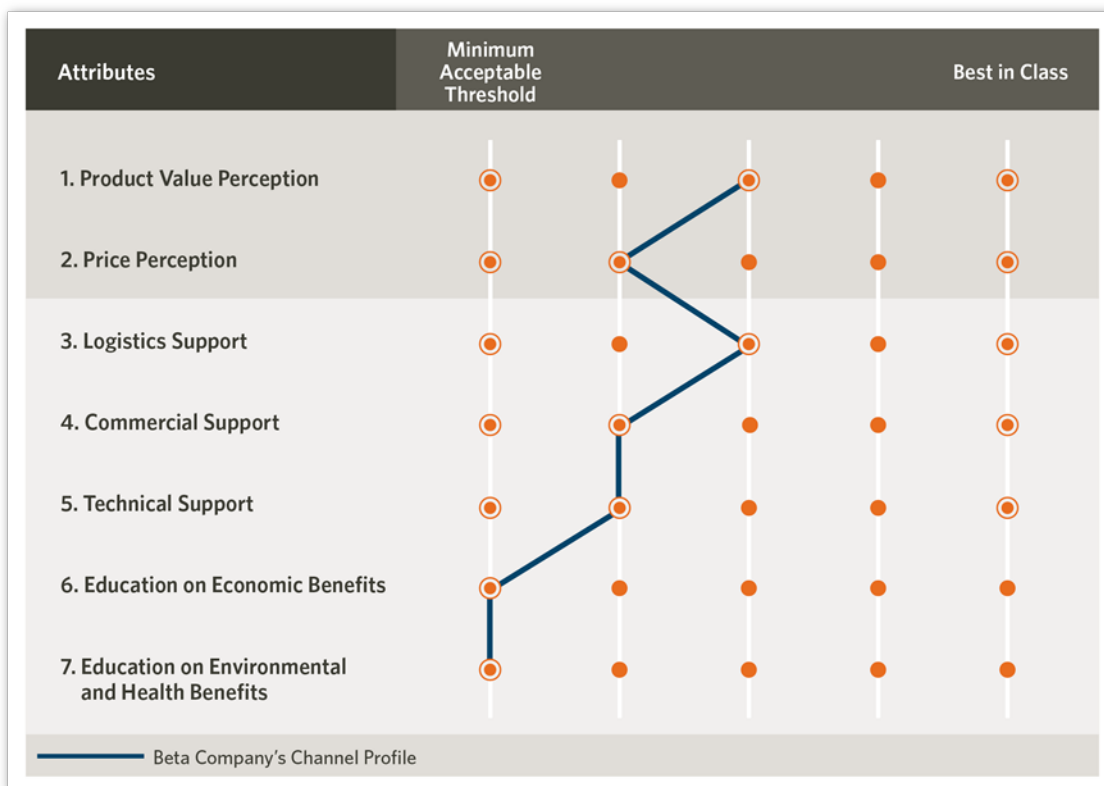
To this illustrative example, we add one more set of needs—the customer's *latent needs*. Many SMEs seemed unaware of the potential long-term savings from the new product. With the addition of the new chemical, they would not have to change their coolant sump as often. The product also effectively eliminated fluid odor, and it cleared up rashes and dermatitis on workers' skin. Beta needed to educate SMEs about these invisible benefits because, at some appropriate effort level, they could change the SMEs' valuation and desire for the product in their machine shops.

Step 3: Assess the capabilities of the current company channels in fulfilling customer needs. Having identified customers' channel wants and needs, Beta then needed to measure how well its existing channel partners were already meeting those needs. For each requirement, the channel steward needed to identify two important benchmarks. First, what was the minimum acceptable level that would allow Beta to participate in the market? Anything below that threshold would lead to a summary rejection by the customer. Two, what was the level at which each visible customer requirement was offered by the leaders in the industry? The Best in Class benchmark need not be directly competing products and services, but similar products or services that the customer obtained from the market. By the end of step 3, the channel steward would have identified the key customer requirements of the channel (wants and needs) and

calibrated the end points of the levels, from the minimum to the best, at which customers could be engaged in the marketplace.

Next, Beta company's managers had to assess honestly where they stood with respect to each of the attributes identified and calibrated above. How close or how far were they from the best in class in the industry? Remember that we are interested in the final fulfillment of any single attribute from the channel of distribution representing the company; for example, product performance and price would have to be assessed at the point of customer contact, with the distributor's margins and services factored in. Beta Company's evaluation for existing customers is shown in **Exhibit 12**.

EXHIBIT 12 Beta Company's Channel Profile

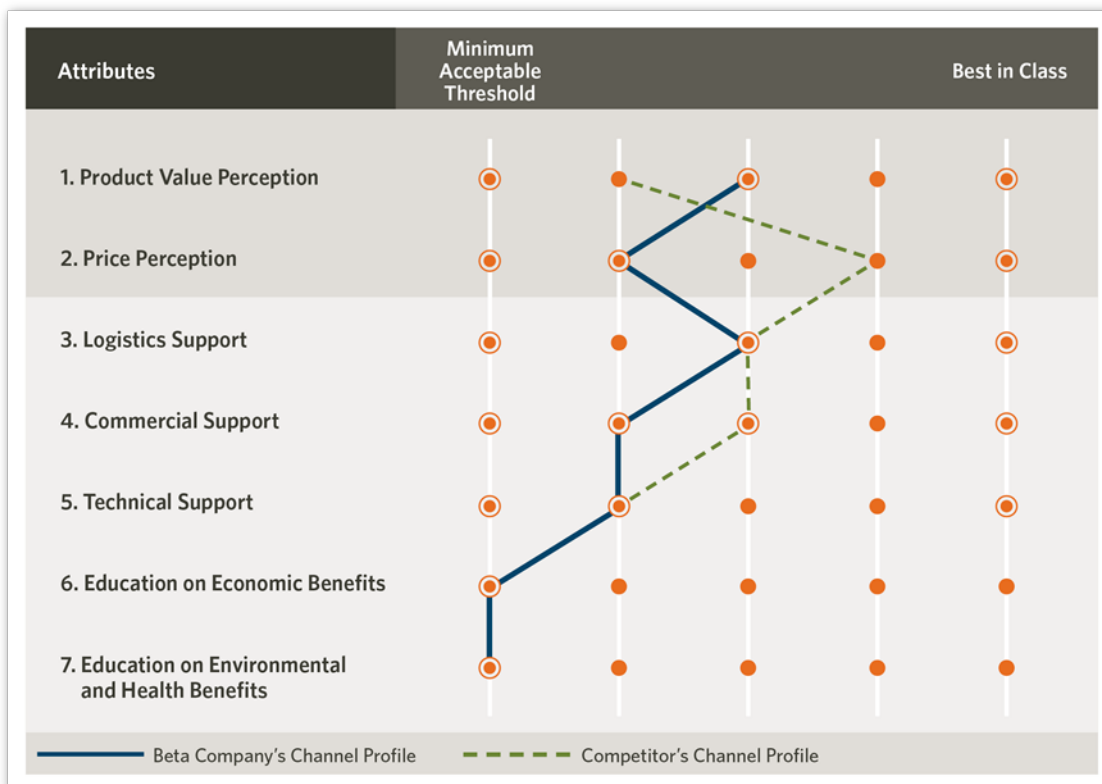


Because Beta simply channeled the product through its formulators (distributors) to ISHs (retailers) without educating SMEs on product usage or cost savings, the research team marked its scores on those attributes (the sixth and the seventh) at the threshold level. The product's performance was perceived to be average, but its higher-than-competitive pricing put it below the average. Remember that the end users, SME customers, were not as sophisticated as Beta's large customers, who ordered through industrial distributors. Many SMEs did not understand the new product's economic,

environmental, or health benefits, and Beta could not depend on retail counter workers (SMEs shopped primarily at retail outlets) to explain the product benefits adequately. Beta assessed its logistical coverage as reasonable given that its formulators could get the product out to the shelves of nearly one-third of the retailers. But once the product was at the retailers, there was minimal informational or promotional material for the product and minimal technical support. All this is reflected in the very low market penetration Beta was able to achieve, despite having a product that, on paper and in the laboratory, performed ten times more effectively than what competitors had to offer.

Step 4: Benchmark against key competitors. A dotted line in **Exhibit 13** indicates competitor scores, which reveal that the competitor's channel profile was superior in the commercial functions (promotions and support) and sold at a lower price, but it was not perceived to be as good as Beta's when it came to product quality. Armed with all this information, Beta Company's channel steward was now ready to begin the process of designing a value chain.

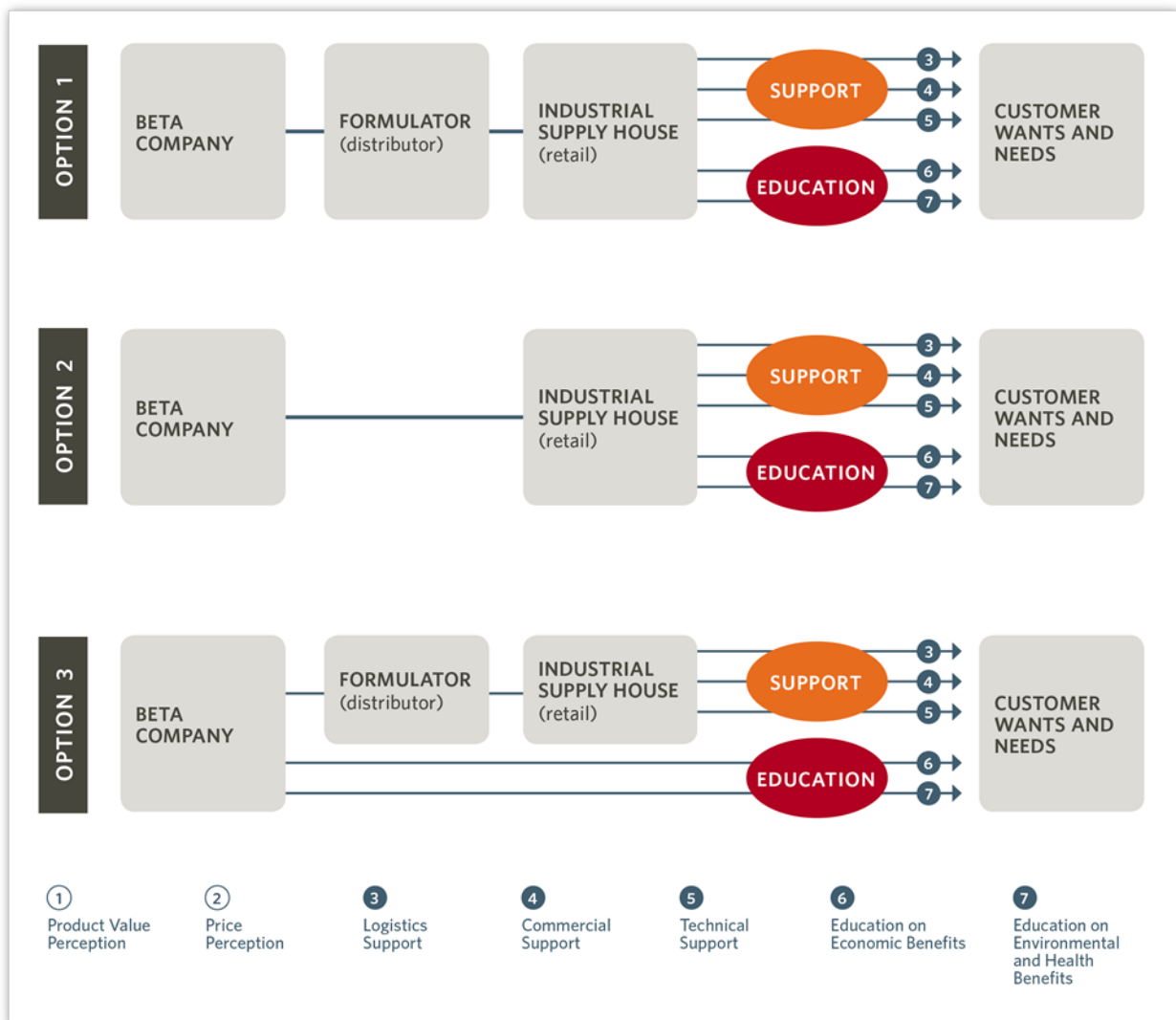
EXHIBIT 13 Beta Company's Channel Profile versus Those of Its Competitors



Step 5: Determine the appropriate channel options. Beta Company wanted to improve market penetration, with a goal of building a channel ultimately to support at least a 5% share of market potential and preferably more than 20%

in three years. The company's channels marketing team estimated that this could be achieved only if the company covered at least 10% of the 3,000 ISHs and, if possible, increasing this to 30%. For now, Beta's current 15 formulators (distributors) were considered adequate to provide the necessary access to the ISHs. Reaching end customers through a two-step channel (formulators and ISHs) was but one option. Beta Company could also bypass the formulator and reach end customers through ISHs (Option 2), or it could work out a hybrid arrangement where formulators and ISHs would be in play but Beta would market directly to end customers and educate them on the economic and health benefits and thus pull them into the retailer (ISH) (Option 3). See **Exhibit 14**.

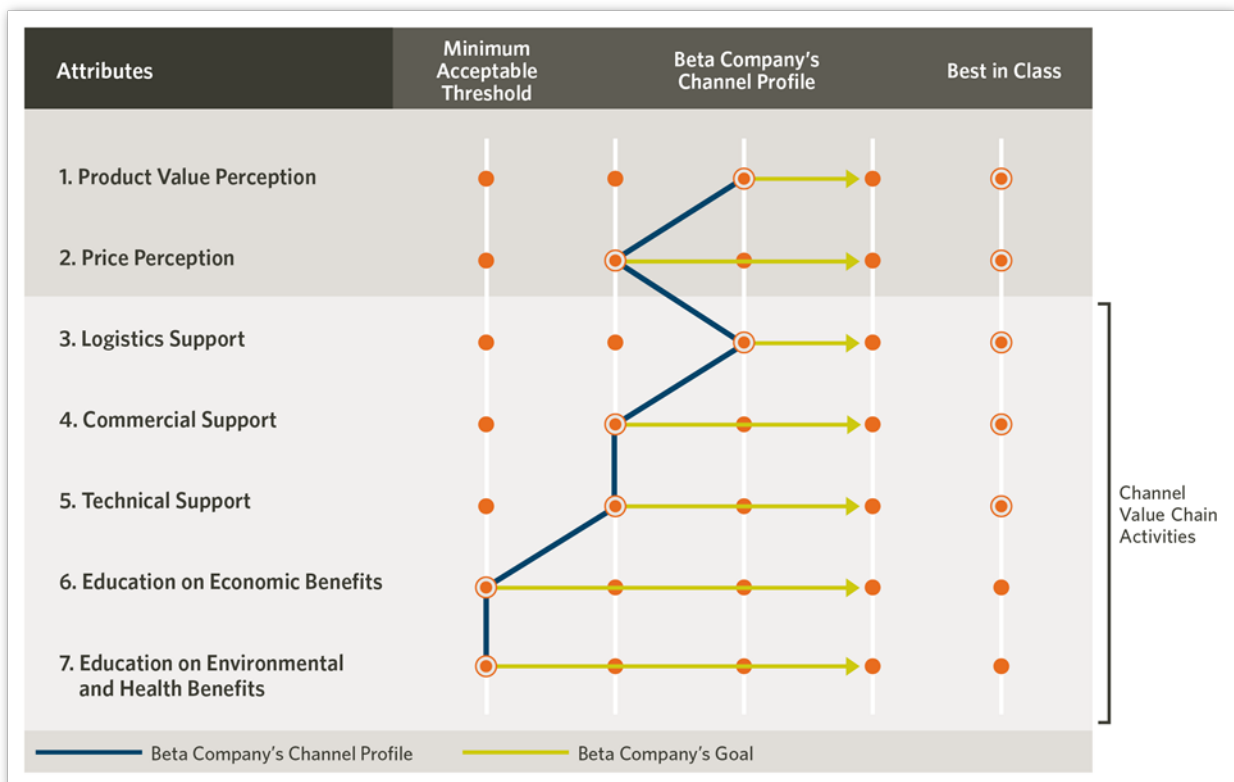
EXHIBIT 14 Evaluating Beta Company's Options for Channel Candidates



Step 6: Set improvement goals. The main purpose of this step is to explore the question of quality: How much would Beta be able to move its value chain profile to the right toward “Best in Class”? See **Exhibit 15**.

The movement has to be sequenced so that SMEs are first educated and persuaded about the product’s economic, environmental, and health benefits—attributes 6 and 7. Beta’s managers reasoned that when customer education was supported by other value-adding activities (attributes 3, 4, and 5—logistics, commercial, and technical support), customers’ perceptions of the product and its comparison price would improve and more would adopt the product. But Beta had to leverage the channel value chain activities to deliver on customer wants and needs to improve the company’s penetration in the SME segment. Beta Company could choose to do so through its formulators and ISHs, that is, by working with its current channels (Option 1). If it did so, the company would also have to develop specific programs to train its distributors and retailers on how to educate end users (activities 6 and 7 in **Exhibit 14**).

EXHIBIT 15 Improving the Quality of Beta Company’s Channel Profile



In the end, Beta would likely have better control of its channel if it bypassed formulators and accessed industrial supply houses directly (Option 2). Or it could choose to continue working with the formulator channel but perform the

customer education function directly as a mercenary effort to pull customer demand to the retail channel (Option 3). Depending on how effectively each option would move the value chain profile closer to “Best in Class,” the upside in terms of revenue and market penetration would vary, and so would costs. Note that there will be constraints on how far one can move the value profile to be best in class for each option. For example, under Option 1, when working through distributors and ISHs, customer education activities (6 and 7) can at best be moved to the halfway mark. At this stage, Beta Company could evaluate the potential revenues it would gain and the potential costs it would incur, by attempting to move the channel value chain profile closer to “Best in Class” for each of the three options.

Step 7: Determine the appropriate channel option and the channel value chain. Steps 4 and 5 involved decisions on three aspects of channel design. First, Beta Company estimated the number of ISHs (retailers) needed to meet its goals of market penetration; second, the company short-listed three potential go-to-market options; and third, in each of those scenarios, it estimated the potential costs and revenues of updating and moving the effectiveness of the five key functions to address end customers’ wants and needs.

Use **Interactive Illustration 2** to simulate the available options and infer the financial consequences of each of those options for the channel steward, as well as its channel partners. Assume that the entire market of 150,000 customers, demands four million units per year. Selecting the tabs labeled Option 1, Option 2, or Option 3 picks one of the arrangements of channel partners that are shown in Exhibit 14. At a 10% market penetration level, about 300 of the 3,000 supply houses would be reached, 600 houses would be reached at a 20% penetration level, and 900 would be reached at a 30% penetration level, respectively. Choose one of the three market penetration levels. The share of market potential could be larger because of the reach of the chosen supply houses. Selecting a price option and level of channel effort affects your share of market potential and therefore revenue. You can increase efforts in five channel value chain activities, but consider that these efforts, while helpful in gaining customers, come at a cost. The amount of the cost depends on which channel participant executes these efforts. These estimates are shown in the interactive illustration. The projected numbers are for the first full year after the distribution program is fully operational. For the subsequent two years, growth rates for each option are shown in the interactive.

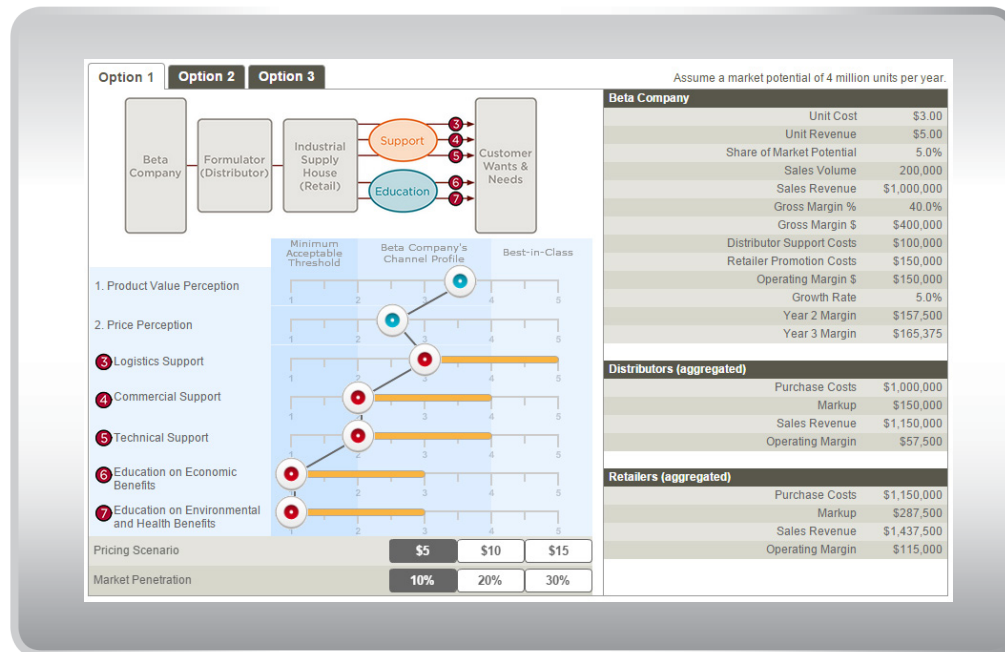
What combination of market penetration, product price, logistics, commercial and technical support, and education effort would result in the highest performance for the channel steward? Which combination would result in the highest revenue? Highest profit margin? Largest share of market potential? The final decision has to be a judgment call based on what the channel steward feels

will best accomplish the company's long-term objectives. Also consider which of the choices you are not entirely comfortable with. For example, are you convinced that price can be increased to \$15? Are you convinced that bypassing formulators will work smoothly? Consider all this in making a final recommendation.



INTERACTIVE ILLUSTRATION 2 Channel Profiles

Click the image, or use this link to access the interactive illustration: bit.ly/hbsp2IVa0Gt



Note: If the Interactive Illustration is not accessible, please see the PDF explanation of the Interactive [here](#).

4 KEY TERMS

broker See jobber.

business-to-business (B2B) When goods and services from a producer are sold to another business for adding further value, before a finished product is ready for further sale to a consumer.

business-to-consumer (B2C) When goods and services are in a near-finished form for sale by a producer to a consumer.

channel steward A participant in a distribution channel (such as a manufacturer or service provider) who crafts a strategy for going to market that will produce profits for the channel partners while addressing customers' concerns and interests.

channel stewardship The construction and continual guidance and management of a set of channel tasks or functions that mirrors the needs of the company's customers as closely as possible.

channel value chain activities Channel functions that create value for the customer by making product availability convenient and allowing for better support through information and service.

coverage intensity The extent of retail coverage necessary to reach the customers in the market, expressed as a percentage. This does not mean that every distributor or retailer has to be covered to reach 100% of the market. Reaching those distributors and/or retailers that carry the largest volumes can often get a supplier close enough to a large number (called all commodity volume [ACV] in retailing).

distributor One who sells products to retailers or business end users. Distributors own and take physical control of inventory; they also promote the products or services and arrange for financing, ordering, and payment with their customers. Also known as *wholesaler*.

DTC Direct-to-customer refers to selling products directly to customers, bypassing middlemen.

E-commerce The activity of electronically buying or selling products or services online over the Internet.

jobber Specialized sales agents hired by the supplier and/or manufacturer who focus on a particular customer segment. They typically do not take physical control of the products or services they sell, and they are compensated through commissions or fees. Also known as *broker*.

online platform The term is used to describe a range of services on the internet. In this chapter it is mainly used to describe a market place of sellers and buyers, either B2C (business to consumer) or B2B (business to business).

quick-response (QR) system An inventory management and product delivery system that takes advantage of point of sale for product tracking to compress the time between product or service design concept and appearance on the retail shelf.

retailer One of a variety of retail formats through which products are sold to end customers, usually individuals. Retailer formats include (but are not limited to) department stores, mass merchandisers, supercenters (hypermarkets), convenience stores, discount stores, websites, catalogs, warehouse clubs, and drugstores.

SEO and SEM Search engine marketing (SEM) is a form of Internet marketing that promotes websites by increasing their visibility in search engine results usually through paid advertising, whereas search engine optimization (SEO) is the process of improving the flow of website traffic to a website organically.

supplier Producer (or manufacturer), assembler, or designer of a product or service being sold. Examples include car companies like Toyota, consumer packaged goods players like Coca-Cola, and fashion designers like Gucci.

wholesaler *See* distributor.

5 FOR FURTHER READING

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ENDNOTES

- ¹ Channels of distribution make up one element of the traditional 4 Ps of marketing: product, promotion, price, and placement (distribution).
- ² This Core Curriculum reading is largely adapted and reprinted from V. Kasturi Rangan and Marie Bell, *Transforming Your Go-to-Market Strategy: The Three Disciplines of Channel Management* (Boston: Harvard Business Review Press, 2006).
- ³ 2019 Annual Wholesale Trade Survey, <https://www.census.gov/newsroom/press-releases/2021/2019-wholesale-trade-survey.html>; accessed 09/05/2021.
- ⁴ Annual Retail Trade Survey, <https://www.census.gov/data/tables/2019/econ/arts/annual-report.html>; accessed 09/05/2021.
- ⁵ The concept of the value chain is discussed in detail in Michael E. Porter, *Competitive Advantage: Creating and Sustaining Superior Performance* (New York: The Free Press, 1985), pp. 33–61.
- ⁶ V. Kasturi Rangan and Marie Bell, *Transforming Your Go-to-Market Strategy: The Three Disciplines of Channel Management* (Boston: Harvard Business Review Press, 2006).
- ⁷ Michael E. Porter, *Competitive Strategy: Techniques for Analyzing Industries and Competitors* (New York: The Free Press, 1980).
- ⁸ V. Kasturi Rangan and Marie Bell, *Transforming Your Go-to-Market Strategy: The Three Disciplines of Channel Management* (Boston: Harvard Business Review Press, 2006).
- ⁹ Forecast e-commerce growth in percentage of online retail/e-commerce sales 2017 to 2023, <https://www.smartinsights.com/digital-marketing-strategy/online-retail-sales-growth/>; accessed 08/25/2021
- ¹⁰ Jeff Bezos sets his departure as CEO as Amazon reports a record year, Don Davis, February 2, 2020, <https://www.digitalcommerce360.com/aeticle/amazon-sales/>, accessed 02/11/2020.
- ¹¹ B2B e-commerce grows after a rough ride in 2020, <https://www.digitalcommerce360.com/2021/03/15/b2b-ecommerce-grows-but-unevenly-in-2020/>, accessed September 3, 2021.
- ¹² How Direct-to-Consumer Brands can continue to Grow, V. Kasturi Rangan, et.al., Harvard Business Review, Nov.-Dec., 2021. Also see “How to Value a Company by Analyzing its Customers,” by Daniel McCarthy and Peter Fader, HBR Jan.-Feb., 2020, for a quick overview on how DTC companies calculate LTV (long term value of a customer).
- ¹³ This seven-step framework may appear similar to an eight-step procedure offered by Louis W. Stern and Frederick D. Sturdivant in “Customer-Driven Distribution Systems,” *Harvard Business Review* 65 (July–August 1987): 34–40, which is based on Louis P. Bucklin, “A Theory of Distribution Channel Structure” (Thesis, University of California–Berkeley, 1966). That article’s concept of service output levels is central to our demand chain. In our framework, however, we determine the nature of the intermediary combination in the last step of the model, after thoroughly assessing and evaluating the customer’s demand chain; Stern and Sturdivant’s framework is based on the institutional paradigm, which drives the choice of the intermediary in the second step.

- ¹⁴ Discussion drawn from Pankaj Ghemawat and Jose Luis Nueno, "Zara: Fast Fashion," HBS No. 703-497 (Boston: Harvard Business School, 2003) and Andrew McAfee, Anders Sjömen, and Vincent Dessain, "Zara, IT for Fast Fashion," HBS No. 604-081 (Boston: Harvard Business School, 2004).
- ¹⁵ The subject of channel power is discussed extensively in Anne T. Coughlan, Erin Anderson, Louis W. Stern, and Adel I. El-Ansary, *Marketing Channels*, 6th ed. (Upper Saddle River, NJ: Prentice Hall, 2001), pp. 199–235. For a discussion of power and how it is used to influence, see Jeffrey Pfeffer, "Understanding Power in Organizations," *California Management Review* 34 (Winter 1992): 29–50.
- ¹⁶ In the marketing literature, several sources of power have been identified, such as reward power (ability to reward), coercive power (ability to punish), expert power (having product or market expertise), referent power (others wanting to associate), and legitimate power (having legal authority). See Anne T. Coughlan, Erin Anderson, Louis W. Stern, and Adel I. El-Ansary, *Marketing Channels*, 6th ed. (Upper Saddle River, NJ: Prentice Hall, 2001), pp. 206–214.
- ¹⁷ There is considerable discussion about trust and commitment in the marketing literature. A comprehensive review is provided by Robert M. Morgan and Shelby D. Hunt, "The Commitment-Trust Theory of Relationship Marketing," *Journal of Marketing* 58 (July 1994): 20–38. Also see Patricia M. Doney and Joseph P. Cannon, "An Examination of the Nature of Trust in Buyer-Seller Relationships," *Journal of Marketing* 61 (April 1997): 35–51. Much of the marketing literature fails to distinguish between interpersonal and interorganizational effects, and most discussions focus on the constructs themselves and are indifferent to the levels at which they operate. In research undertaken with Das Narayandas, I have found that trust and commitment operate at distinct levels. See Das Narayandas and V. Kasturi Rangan, "Building and Sustaining Buyer-Seller Relationships in Mature Industrial Markets," *Journal of Marketing* 68 (July 2004): 63–77.
- ¹⁸ There are many different approaches for measuring these constructs but ultimately they have to be driven by the context of the situation. At times, researchers have used measures of outcomes, such as level of conflict, satisfaction, dissatisfaction, and other affective measures, which provide a clue about the health of the interactions in the channel. For the purposes of alignment, however, it is more useful to seek direct measures of power, trust, and commitment. For more on the topic, see, for example, Nirmalya Kumar, "The Power of Trust in Manufacturer-Retailer Relationships," *Harvard Business Review* 74 (November–December 1996): pp. 92–106.
- ¹⁹ On the topic of trust and power, also see, for example, Gary L. Frazier, "On the Measurement of Interfirm Power in Channels of Distribution," *Journal of Marketing Research* 20 (May 1983): 158–166, and Adel I. El-Ansary and Louis W. Stern, "Power Measurement in the Distribution Channel," *Journal of Marketing Research* 9 (February 1972): 47–52.
- ²⁰ See V. Kasturi Rangan, "The Channel Design Decision: A Model and an Application," *Marketing Science* 6, no. 2 (1987): 156–181; and V. Kasturi Rangan, Melvyn A. J. Menezes, and E. P. Maier, "Channel Selection for New Industrial Products: A Framework, Method, and Application," *Journal of Marketing* 56 (1992): 69–82, for a basis for a quantitative application.

7 INDEX

- Ace Hardware Corporation, 3, 5
- aligning and influencing the channel system, 7, 19–24
- apparel and accessories industry, 17, 25, 26
- Apple Inc., 11, 12
- arm's length distribution network, 17–18, 21
- Barnes & Noble, Inc., 26
- benchmarks, 16, 28, 30
- Best Buy Co., 14, 17–18
- bookstores, 25, 26, 27
- brand power, 14, 17–18, 20, 22
- brokers. *See* jobbers
- building and updating the channel value chain, 7, 13–18
- business-to-business (B2B), 3, 17, 18, 27, 34
- business-to-consumer (B2C), 3, 25, 34
- capabilities of channel systems, 8, 9, 10, 16, 22, 23, 28–29
- case study, 27–33
- channel capabilities and costs, 8, 9, 10, 16, 22, 23, 28–29
- channel conflict, 23–24
- channel coverage, 17, 34
- channel options, determining, 16–17, 30, 32–33
- channel power and influence, 8, 9, 10, 14, 19–21
- channel roles, 7, 16, 20, 21, 22–23, 27
- channel stewards, aligning and influencing channel system by, 19, 20, 21–23, 24
- channel stewards, case study with, 27–33
- channel stewards, channel conflict and, 23–24
- channel stewards, channel coverage and, 17
- channel stewards, channel value chain framework used by, 14, 15, 16–17, 18
- channel stewards, control of channels by, 21–22
- channel stewards, definition of, 34
- channel stewards, disciplines of, 6–7
- channel stewards, mapping channels by, 7, 8, 9, 10, 11, 12
- channel stewardship, 5–7, 16, 19, 20, 22, 23, 24, 34
- channel strategy, 3–5
- channel value chain, activities of, 6–7, 34
- channel value chain, case study of, 27–33
- channel value chain, definition of, 6
- channel value chain, framework for constructing, 14–17
- Coca-Cola Company, 17, 22, 34
- commercial support, 28, 31, 33
- commitment, 20, 21, 23
- Compaq Computer Corporation, 11, 12
- competitive postures and actions, 8, 9, 10, 30
- competitors, benchmarks against, 16, 30
- complementary products and services, 8–9, 18, 27
- computer and consumer electronics channels, 17, 25, 26
- computer industry, 11–12
- conflict, 23–24
- costs of channel systems, 8, 9, 10, 23
- coverage intensity, 17, 34
- customer wants and needs, 8–9, 15, 22, 28
- decisions, in channel design and management, 3–5, 13
- Dell Inc., 11, 12
- demand chain, 10, 11, 32
- design decisions, 5, 6
- direct channels, versus indirect channels, 13–14
- disciplines of channel stewardship, 6–7
- distributors, 3, 4, 5, 6, 8, 9, 10, 13, 14, 16, 17, 18, 20, 21, 27, 34
- e-commerce, 24–27
- electronic goods industry, 17, 25, 26
- Five Forces Framework, 7–8
- forces affecting channel strategy, 7–12
- four forces analysis, 7–10, 12
- franchise system, 18, 21
- goals for improvement, 16, 31

- goals of channel strategy, 7, 14, 15, 16, 19, 21, 22, 24, 27
- go-to-market strategy, 6, 10, 11, 16, 27, 32
- hard power of channels, 19, 20, 22–23
- Hewlett-Packard Company, 11, 12
- horizontal channel conflict, 23–24
- IBM, 11, 12
- improvement goals, 16, 31
- indirect channels, versus direct channels, 13–14
- influence of channels, 8, 9, 10
- integrated channel strategy, 6
- integrated channel structure, 17–18
- Internet, 3, 12, 16, 24, 26. *See also* online channels
- inventory, 4, 10, 11
- investments in channel capabilities, 23
- Iron Law of Distribution, 16
- jobbers (brokers), 3, 5, 34
- latent needs of customers, 28
- logistics support, 28, 31, 33
- management decisions, 5–6
- mapping industry channels, 6–7, 7–12
- margins, 4–5, 11, 23, 29, 33
- market access and intelligence, 10, 14, 20
- market penetration, 16, 22, 24, 30, 32–33
- markups, 4
- McDonald's Corporation, 18
- multiple channels, 24
- music industry, 25, 26, 27
- needs of customers, 8–9, 15, 22, 28
- online channels, 24–27. *See also* Internet
- performance measurement and monitoring, 23, 29
- power of channels, 8, 9, 10, 14, 19–21, 22–23
- price, 4, 5, 9, 22, 24, 26, 29, 33
- Procter & Gamble Co., 17, 22
- profitability, 4, 5, 11, 14, 20, 24, 33
- publishing industry, 25, 26
- questions, for mapping channels, 9
- quick-response (QR) system, 17, 34
- resellers, 3, 11, 13
- responsibilities in value chain, 21, 22
- retail chains, 5, 17–18, 26
- retailers, 3, 4, 5, 6, 9, 10, 11, 14, 16, 17–18, 20, 22, 26, 27, 34
- rewards for channel members, 7, 19, 22, 24
- roles of channel partners, 7, 16, 20, 21, 22–23, 27
- Samsung Group, 17
- showrooming, 26
- silo, 24
- soft power of channels, 19, 20–21, 22–23
- Sony Corporation, 17, 22
- stewards. *See* channel stewards
- suppliers, 3, 4, 5, 34
- technical support, 28, 31, 33
- travel industry, 13, 25, 27
- trust, 20, 21, 23
- unique product/technology, 10, 20
- vertically integrated channel system, 17–18, 21, 23–24
- Walmart brand, 17–18, 20
- wants of customers, 8–9, 15, 22, 28
- wholesalers. *See* distributors
- Zara brand retail chain, 17